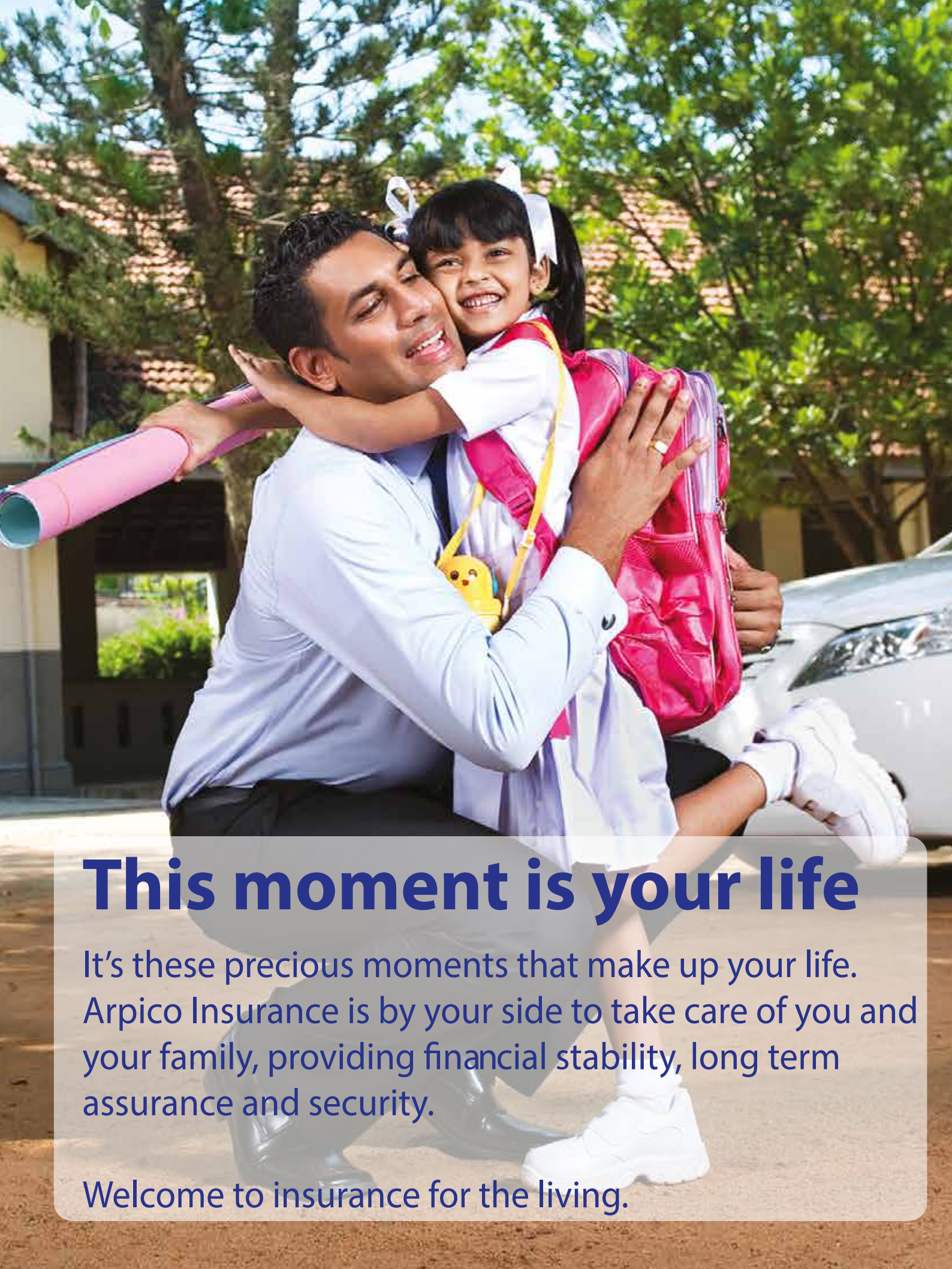




Annual Report

2014





This moment is your life

It's these precious moments that make up your life. Arpico Insurance is by your side to take care of you and your family, providing financial stability, long term assurance and security.

Welcome to insurance for the living.

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Highlights of the Year

GWP Life

297 Mn.
Growth 44%

Life Insurance	2014	2013	Growth
GWP (Rs. Mn)	297	206	44%
Life fund (Rs.Mn)	287	168	70%
Profit / (Loss) after tax (Rs. Mn)	12	(33)	
Number of new policies	6,917	5,634	23%

Total Assets

980 Mn.
Growth 35%

Employees	2014	2013	Growth
Number of staff	327	291	12%
Number of branches	22	9	144%

Life Fund

287 Mn.
Growth 70%

Shareholders	2014	2013
Basic earnings per share (Rs.)	0.22	(0.60)
Net asset per share (Rs.)	9.4	8.8
ROA	1%	-5%

Profit After Tax

12 Mn.

Company Profile

"Insurance for the Living", with a focus to create new space in the life insurance market Arpico Insurance was incorporated in 2011. The company received its license to operate as a life insurer from Insurance Board of Sri Lanka (IBSL) on 2011 and started its commercial operations in January 2012.

Within 3 years of operations Arpico Insurance invited public to share its success through an IPO in December 2014 and was listed on the Diri Savi Board on Colombo Stock Exchange on 16th January 2015.

Vision

To be the most trusted and innovative solutions provider for life insurance needs

Mission

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability

Values of the Company

To serve customers with care, compassion and respect

To do the right thing for the right reason

Always think to lead in new ways and introduce result oriented solutions to customers

Always nurture and value team spirit along with satisfaction

Ensure maintenance of high ethical standard in all professional aspects and practices of the Company

Branch Network



Key Milestones

Incorporated as public limited Company under the name "Arpico Insurance Limited"

2011
June

2011
October

IBSL granted the License to Arpico Insurance to act as a Life Insurer primarily conducting Life Insurance business in Sri Lanka



2012
January

Launching of Arpico Insurance & Commencement of its Operations at Hyde Park Corner Office



2012

Reached LKR 100 Mn GWP in the first year of commercial operations

Head Office Shifted to New Premises at Vauxhall Lane to Facilitate growth

2013
July



2014
December

Initial Public Offering of Arpico Insurance Shares to Public

First Life Insurance Company to Record a Profit In its 3rd Year of Operation

2014
December

Acting Chairman's Message

“ Arpico Insurance continued its growth momentum despite the dull performance in the insurance industry. Arpico Insurance grew by 44% in 2014 in terms of the GWP. In the 3rd year of operations, Arpico Insurance was able to make a profit of LKR 12 million becoming the first life insurance company to make a profit on the 3rd year of commercial operations. ”



Dear Valued Shareholders,

It is with great pleasure that I present to you the Annual Report and the Audited Financial Statements of Arpico Insurance PLC for the year ended 31st December 2014.

The Macro Environment

The recovery in global economy, which gathered momentum in later 2013 continued in to 2014. The IMF's projection in January 2015 for the global economic development was revised downturn to 3.3% reflecting the challenges imposed to the world growth potential for the year 2015.

Sri Lankan economy too continued to grow at a robust pace in 2014 growing the real GDP by 7.4% in 2014 compared to 7.2% in 2013. Industrial sector grew by 11.4% in 2014 and has been the main driving force for the GDP for the year 2014. The agriculture sector, which represents 10.1% of the economy, experienced a strike during the year mainly due to inclement weather conditions. The services sector experienced a growth rate of 6.5% for 2014 and constitutes 57.6% to the economy.

Going forward, Sri Lanka is expected to continue its growth momentum with IMF's projection of 6.5% for 2015. Inflation continued its downward trend during the year 2014 and was brought down to 3.3% at the end of the year. The Central Bank of Sri Lanka maintained its relaxed monetary policy stance though out the year resulting in a low interest rate regime. The low interest rate and low inflation conditions were conducive to business and is expected to continue to the foreseeable future.

Acting Chairman's Message (Contd.)

Insurance Industry

The financial year 2014 was a leaden year for the Insurance Industry. Insurance Industry grew at a moderate rate of 6% in 2014 compared to a growth of 12% in 2013. Life Insurance sector and Non-Life Insurance sector showed a single digit growth. The Life Insurance sector showed a growth rate of 9% in 2014 compared to 10% growth in 2013 whilst Non-Life Insurance sector grew by 4% in 2014 compared to 9% in 2013.

Penetration levels of the Insurance industry as a percentage of GDP and total population stands at low levels in Sri Lanka. Total Premium to GDP stands at 1.09% and number of policies to total population stands at 12.2% according to the released public data.

Performance

Arpico Insurance continued its growth momentum despite the dull performance in the insurance industry. Arpico Insurance grew by 44% in 2014 in terms of the GWP. In the 3rd year of operations, Arpico Insurance was able to make a profit of LKR 12 million becoming first life insurance company to make a profit on the 3rd year of commercial operations.

Special Achievement

Achieving yet another landmark in its short existence in business, Arpico Insurance successfully launched its first ever public share issuance through its Initial Public Offering (IPO) in December 2014 opening to the public to hold 10% of the shareholding of the company. The company is now listed on the Diri Savi Board of the Colombo Stock Exchange.

Future Outlook

Your company is expected to take yet another leap step towards becoming a major player in the life insurance industry in 2015. We are geographically spread our presence in 22 localities across all provinces through our branch network currently in place and is expected to further expand our branch network in the coming year.

People are a major success factor in Life Insurance industry. We will focus on continuous development of our sales force. The company has initiated various training programs focusing on this area. Your company clearly understands the need to develop technical aspects of the business. Hence, we are aiming to further strengthen our underwriting and actuarial support.

Appointments to the Board

We warmly welcome Mr S Sirikananathan and Mrs. L Serasinhe who joined the board of Arpico Insurance PLC during the year 2014. The vibrant experience and the knowledge they bring in to the Board Room, I'm sure will contribute in guiding the company to the next paradigm.

Conclusion

I would like to take this opportunity to appreciate the continued commitment and dedication of our many stakeholders. My sincerest gratitude is therefore offered to the management team, employees, customers and business partners who have all contributed in many ways towards the success of the company. Going forward let me assure you that we will stay ahead of our times to create wealth to our shareholders at all times.



Viville Perera
Acting Chairman
22 May, 2015

Chief Executive Officer's Review



It gives me great pleasure to present this Annual Report and Statement of Accounts for the year ended 31st December 2014.

Arpico Insurance is a subsidiary of Richard Pieris & Co. PLC which is one of the largest conglomerates in Sri Lanka. Arpico Group plays a diversified interest amongst many business sectors such as Retail, Plantation, Tyre, Furniture, Interiors, Plastics, Rubber, Automotive, Construction, Logistics, Lighting & Electronics as well as Health & Financial Services.

In 2011 group ventured into Insurance industry with the will of providing Insurance services with its brand name Arpico, under the visionary leadership of Group Chairman Dr. Sena Yaddehige while expanding the range of services offered under its financial services portfolio. Arpico Insurance primarily focused on Life Insurance services catering to the emerging life insurance market in the country.

Our unique value proposition being "Insurance for the living" symbolizes the power of positive thinking which could change the attitude towards Insurance that helps to differentiate Arpico Insurance from its competition. This also reassures the commitment to serve our customers Life-Long and help them to cherish every single moment of their lives as well as their loved ones and would make their lives worth living by securing their future.

Chief Executive Officer's Review (Contd.)

Industry

The growth of Insurance Industry was not that impressive for the year 2014. Overall growth in the Industry consists of General Insurance and Life Insurance sectors have indicated growth rate of only 6%. Especially, the growth of Life Insurance sector was only 9% in year 2014 compared to 2013 growth of 10%. The year 2014 was a transformation year for the Insurance industry due to the fact that implementation of important regulatory frame work such as RBC Regime, segregation process of composite Insurance companies were needed to be finalized as stipulated by the insurance regulator in order to create healthy competition while improving the professional standards in Life & General Insurance sectors.

Overview

The company has established its presence in 7 main provinces namely Western, Southern, Central, North western, Sabaragamuwa, North Central and Eastern provinces and operate in 22 physical branches and 28 virtual branches. The company plans to expand its operation further and take its growth to the next level.

Since the inception, the company has shown remarkable growth in GWP achievements over the years. It is noteworthy to mention the achievement of Rs 100 million in 2012 during the very first year of operation, which was the highest ever GWP achievement by a life insurance company in the history of insurance in Sri Lanka. Our main strategic objective in 2014 was to accelerate the pace of growth and I am proud to mention that the turnover in GWP of the Life business reached 297 Million compared to 206 Million in previous year, the growth rate is 44% which is very impressive in the highly competitive insurance market in Sri Lanka where the industry growth rate is 9%. The First Year Premium for the year was Rs 230 Million which is a growth of 24%. The renewal premium grew by 217% to Rs 67 Million which portrays a healthy buildup of a renewal premium that indicates company is progressing towards the correct direction.

The most important fact to mention is that the Company recorded a profit (PAT) of 12million for the year 2014, making our company to be the first ever Life Insurance company in the Industry who recorded a profit within the first three years of commencement of operation.

We were successfully able to comply with the regulatory requirement of all Insurers to be listed in a licensed Stock Exchange within three years period of issuance of Insurance license by IBSL. We succeeded in the IPO by oversubscribing within 24 hours of the issue which commenced on 11th December 2014. However, after the IPO, Arpico Insurance share price has been appreciated even though the share market's overall performances were poor.

Investments

The Company also made strategic decisions in selecting investment instruments in its investment portfolio and has been able to maintain a mix of both long term and short term instruments. Accordingly, during the year under review, investment portfolio shows an increase from Rs. 578 million in 2013 to Rs. 843 million.

Stated Capital and Solvency

According to the guidelines issued by the Insurance Board of Sri Lanka (IBSL) every insurer should maintain the minimum stated capital as well as solvency margin, to safe guard the interests of the policy holders. The Company has been able to maintain minimum stated capital well above the required limit and the solvency margin requirement 31 times above the required level during the year under review.

Chief Executive Officer's Review (Contd.)

Further, the Life Fund of the company stands at Rs 287 Million as at 31st December 2014, which is a growth of 70% over 2013.

Future Outlook

In the first three years, the company has shown a momentous growth and we are determined to maintain our growth momentum to make our own identity in the industry. I am also glad to mention that our branch network is now spreading widely and by now we have 22 branches in strategic locations which cover all provinces in the country. Similarly, we are hoping to strengthen our branch network to facilitate desired growth level.

It is a well-known fact that proper actuarial approach in Pricing & reserving policies are major factors in deciding the profitability of any Life Insurance company. Further implementing challenging regulatory requirements such as implementation of RBC framework and transition from Gross Premium based valuation (GPV) methodology strongly requires actuarial expertise to any professional life insurer. Hence, the company is planning to further strengthen actuarial support services by establishing an in-house actuarial arm. This could enhance the actuarial expertise in order to facilitate regular technical reviews of the company ensuring the operation is run profitably.

Further, we are enhancing our IT infrastructure to facilitate better service levels to our customers. The company is also planning to provide more access to Sales Force to have more information which we believe will increase the efficiency and effectiveness of the sales process.

Appreciation

I would like to express my sincere thanks to the Group Chairman and members of the main board along with the board members of the company for their guidance, support and the confidence placed in me and my team.

My sincere appreciation to the Management Team, Managers and all staff including the sales force for their commitment and the tireless efforts that continue to drive the Company forward.

A special word of thanks to our regulators, Insurance Board of Sri Lanka for their support and guidance given to us.

A very sincere thank goes to our shareholders, customers, brokers, business associates and all other stakeholders for their support and inspiration as we look forward on the numerous opportunities that the market is bound to offer.



D C Kevitiyagala

Chief Executive Officer

22 May, 2015

Profile of Directors



1	2
3	4

(1) Mr. Viville Perera (Non-Executive Director)

Mr. Viville Perera is a Science graduate from Kelaniya University with Second Class Honors and a Fellow Member of the Chartered Institute of Management Accountants and Associate Member of the Chartered Institute of Marketing in United Kingdom. Mr. Perera has over 30 years' experience in senior managerial capacity in leading business organizations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group) and Amico Group of Companies. He has served as a Treasurer and Vice President of Sri Lanka Institute of Packaging and a member of the lecture panel for SLIM and ABE Sri Lanka Branch for examinations leading to CIM and ABE (UK).

(2) Mr. Jagath Dissanayake (Non-Executive Director)

He is an Associate Member of the Institute of Chartered Accountants of Sri Lanka with over 27 years of managerial experience in the fields of accounting, auditing & marketing and on operational activities. He has gained extensive experience both overseas and in Sri Lanka. Most of his overseas experience has been in multinationals. He is currently the Group Chief Financial Officer of the Richard Pieris Group.

Profile of Directors (Contd.)

(3) Mrs. Lasinee Serasinhe (Independent Non-Executive Director)

Mrs. Serasinhe is a Fellow of the Chartered Institute of Management Accountants (UK), Fellow of the Chartered Global Management Accountants and holds a Diploma in Computer Programming. Mrs. Serasinhe counts over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Board of Sri Lanka (IBSL). She took up duties as the Director General of the IBSL at the time that IBSL set up its office independently and worked at the IBSL until her retirement.

Whilst being the Director General of the IBSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an Ex-officio Member. Subsequently, she served the Ministry of Finance in the capacity of an Advisor for a short period of time. Prior to taking up the post of the Director General, IBSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinhe has several years of experience in the field of Finance in the Private Sector prior to her entry into the regulatory arena. Mrs. Serasinhe is currently functioning as a consultant to the private sector and is attached to SSP Corporate Services (Pvt.) Ltd.

(4) Mr. S. Sirikananathan (Independent Non-Executive Director)

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasi & Company. He is also on the Board of Bartleet Finance PLC as an Independent Non-Executive Director and the Chairman of the company's Audit Committee.

Mr. Sirikananathan counts over 40 years of audit experience with KPMG and had engaged on audits of star class hotels, conglomerates, development organizations, multinational banks, finance companies, insurance companies and several listed companies. He also served as Director / Financial Consultant to the Associated News Papers of Ceylon Ltd. (ANCL)

Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and is also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya and has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.

Corporate Management



Chief Executive Officer - Mr. D C Kevitiyagala

Mr. Kevitiyagala is an Associate Member of Chartered Insurance Institute of UK with experience spanning over 35 years in the Insurance industry in both Sri Lanka and in overseas. He is also a holder of Business Development Degree specialized in banking, finance and insurance from the University of Colombo. He is a member of the Mortgage Professional as well.



Specified Officer – Mr. E C Perera

Mr. Perera counts over 32 of experience in the field of Insurance. He is a associate Member of Chartered Institute of Insurance (UK) and a Chartered Insurer.



Assistant General Manager Operations - Mr. T S Kitchilan

Mr. Kitchilan counts over 15 years of experience in the Insurance Industry. He holds a MSc in Information Management from SLIIT and a Postgraduate Diploma in Information Management. He is a Fellow of the Institute of Management Specialists UK and also holds a Diploma in Business Management in addition to the National Diploma in Human Resource Management from the Institute of Personnel Management.



Assistant General Manager Sales - Mr. H E T Sampath

Mr. Sampath counts over 23 years in the industry. He has completed AMTC - LIMRA, LUTC Diploma in Insurance - LIMRA, and Management Skills Course - IMS.



Assistant General Manager Sales - Mr. W N C P Nishan

Mr. Nishan counts over 22 years in the industry. He has completed AMTC - LIMRA, LUTC Diploma in Insurance - LIMRA, and Management Skills Course - IMS.



Finance Manager - Mr. Melanga A Doolwala

Mr. Doolwala counts over 14 years of experience in finance and out of which 10 years in the insurance industry. He is an Associate Member of the Chartered Institute of Management Accountants UK. He also holds a Diploma in Computer Studies from National Centre for Computing UK. He has completed the Licentiate Exams from Insurance Institute of India.

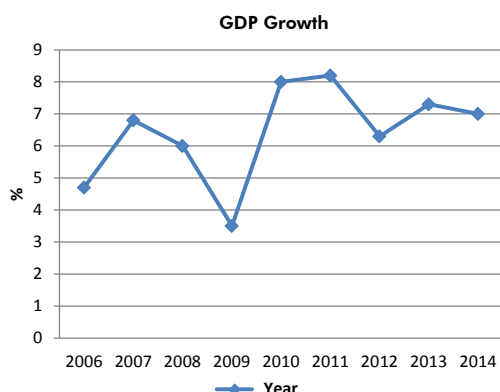


Operating Environment

Sri Lankan Economy

The Sri Lankan economy has recovered strongly recording a resilient growth rate since the end of civil war and grabbed positive economic measures. The preliminary indications as per the Central Bank of Sri Lanka are that GDP would increase by 7.8% in 2014. This strong growth was driven by the government pursuing large scale reconstruction and development projects.

The Industrial Sector grew by 12.4 % with persistent performance in Construction, Mining and quarrying and Manufacturing sub sectors. The agriculture sector despite the low growth in the 1st quarter due to increment weather conditions achieved and overall growth of 3.1% in the 1st half of the year. Service sector grew by 6.1%.



Interest Rates

Throughout 2014 there was downward pressure on interest rates in Sri Lanka. The relaxed monetary policy adopted by the CBSL helped the 12 month treasury yield to drop to 6.00% at end 2014 reflecting a drop of 220 bps for the year.

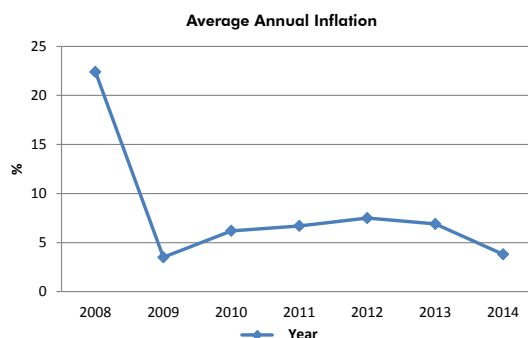
The average weighted fixed deposit rate (AWFDR) declined to 8.18% at September 2014 compared to 11.78% at end of 2013. It seems likely to rise in interest rates towards the second half of 2015.

Even though the interest rates were maintained at low levels the private sector credit growth has shown a moderate growth. In the last quarter of 2014, i.e. September, October and November credit disbursement by private commercial banks show a YOY increase of 4.6%, 5.1% and 6.5% respectively. Even though existence of a low interest regime in 2014 concerns about excessive risk taking and possible asset bubbles in low interest environments has not materialized during the year.

Inflation Rates

Inflation continued to remain single digits level for six consecutive years. The average inflation for the 2014 was 3.3% while core inflation was recorded at 3.7%. The core inflation in 2014 indicates a well contained demand driven inflationary pressures. In October and November 2014, headline inflation (YOY) was at 1.6 percent and 1.5 percent, mainly due to the downward revisions to domestic fuel and electricity prices.

In general terms there were relatively stable exchange rates, downward trend in prices of LP gas and fuel, electricity and water. Also in order to maintain the inflation rate at low levels there was fiscal policy measures introduced during 2014.



2015 and Road Ahead

2015 started off with transition of the administration to a new coalition government though the elections held on 8th January 2015. The move welcomed by the international community created a revived image for the democracy and the future of the country. New administration declared strengthening Sri Lanka's exports being high on its agenda for economic growth. Construction sector would see a slow down with some of the larger projects which are on initial stages put on hold for reassessment in the first part of 2015. Also with the political uncertainty would likely to adversely affect the private investments. Against this backdrop assuming the political environment settles in the second half of 2015 and investments rebound according to Asian Development Bank (ADB) the growth is projected to be 7% for 2015.

Operating Environment (Contd.)

Regulatory Review

Listing of Arpico Insurance in a Licensed Stock Exchange

According to the Section 15(A) of Regulation of Insurance Industry (Amendment) Act no 3 of 2011, Arpico Insurance was required to be listed on a stock exchange licensed under the Securities and Exchange Commission of Sri Lanka within 3 years.

In keeping with the this requirement Arpico Insurance opened its Initial Public Offer (IPO) to issue 6,630,400 of its ordinary shares to general public on 11th December 2014. Issue was oversubscribed on 12th December 2014. Shares of the Company were officially listed on the Diri Savi Board of the Colombo Stock Exchange on 16th January 2015.

Segregation of Life and General Insurance Business

Arpico Insurance is a specialized Life Insurance provider hence the requirement to segregate does not apply to Arpico Insurance. Though this does not apply to Arpico Insurance the changes it will create in the operating environment would have an impact on the operation in terms of the competition, staff retention and the marketing strategy.

Risk Based Capital

IBSL took the initiatives to implement the Risk Based Capital (RBC) framework replacing the current Solvency Regime. Road map was to complete the full implementation by January 2016. To ensure a smooth transition firstly a read test was done and subsequently a compulsory parallel run initiated in 2014 and 2015.

The company is getting the assistance of an Indian Consultant Actuary for the RBC. We have made a considerable progress in implementation and are confident that we would be able to implement the requirements of RBC without any significant issues.

Who we are

Arpico Insurance is a subsidiary of Richard Peiris and Company PLC, one of the largest conglomerates in Sri Lanka with operating history of over 82 years. In 2011 Arpico Insurance was incorporated with an intention to build up an insurance company with the brand ARPICO.

We differentiate our self from the others with our unique value proposition "Insurance for the Living". General perception of Sri Lankans is life insurance schemes provide benefits only at the death of the policyholder. We intend

to fill this expectation gap by offering benefits one can enjoy life whilst living and continue to provide for those who live thereafter under the theme "Insurance for the Living". Hence we provide a wide variety of customized insurance solutions to fulfill this requirement.

Our Reach

The company has established its presence in 7 main provinces namely Western, Southern, Central, North Western, Sabaragamuwa, North Central and Eastern provinces. The company operate 22 physical branches and 28 virtual branches.

Our Products

Term Insurance Plan

This is the most simple and oldest form of life assurance. Sum Assured is payable only on death of the Life Assured during the term of the policy. This could be extended with the additional living benefits that can be added separately, depending on the need of the policy holder.

Endowment Plan

This gives the Life Assured a high level of protection and an Investment opportunity for a relatively attractive premium. The Sum Assured becomes payable accrued bonuses at the expiry of the policy terms or on prior death of the life assured. Sum Assured will increase by 2.5% in each year to accommodate inflation. Although the sum assured will be increased, the original premium will remain the same. The Endowment Plan can be used as a fund, which could be used to fulfill a living need of a policy holder in the future.

Arpico Investment Plan

Investment Plan is designed to allow the policyholder investment benefits by providing attractive returns as a living benefit. The rate of return is decided on every year. The policyholder can decide the frequency of premium payments. Additionally living benefits can be attached to the plan.

Arpico Hospitalization per Day Benefit

If a policyholder is hospitalized within Sri Lanka, as a result of accident or illness, this benefit will pay an amount equal to the stated per day amount, multiplied by the number of completed hospitalized days. In the event of ICU treatment the benefit will be doubled. Hospitalization benefit can be obtained up to Rs.10,000 per day.

Operating Environment (Contd.)

Arpico Hospitalization Reimbursement Benefit

Provides coverage for the policyholder and the family for surgical and hospitalization expenses up to Rs.30,000 p.a. If hospitalization does occur within Sri Lanka, as result of an accident or illness this benefit will reimburse the expenses incurred on such treatment up to an agreed amount per policy year.

Arpico Loan Protection Plan

This is decreasing term assurance policy, which provides cover for any type of loan such as housing, building, business or personal loan. Initially, the sum assured will be equal to the loan taken but will decrease periodically as loan repayments are made. Should the death of the life assured occur prior the expiry date, the Insurer will repay the outstanding loan amount to the lender.

Total & Permanent Disability Benefit is a compulsory attachment to the Mortgage Protection Insurance Plan.

Arpico Education / School Fees Plan

School Fees plan is designed to lessen parent's burden of the children's school fees in the event of unforeseen circumstances. The monthly amount, which is to be paid to the policyholder's beneficiary, can be decided on at the time of obtaining the policy.

Arpico Group Assurance Plan

Group Insurance Plan Covers a group of people; usually members of a common society, employees of a common employer or professionals in a common group.

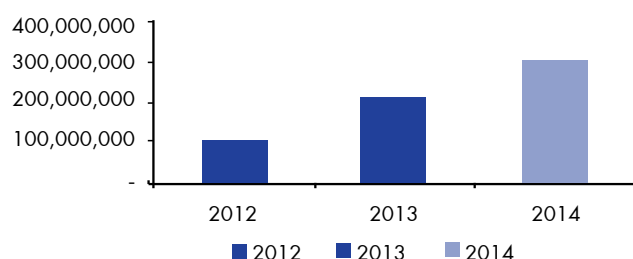
Financial Review

Gross Written Premium

Since inception the company has shown remarkable growth in GWP over the years. In 2014 Company achieved a GWP of Rs 297 Million. This is a growth of 44% compared to 9% growth in the industry. The First Year Premium for the year was Rs 230 Million which was a growth of 24%. The renewal premium grew by 217% to Rs 67 Million which portrays a healthy buildup of a renewal premium which indicates company is progressing towards the correct direction.

It is noteworthy to mention the achievement of Rs 100 million in 2012, which was the highest year GWP achievement by a life insurance company in the history of insurance in Sri Lanka.

GWP Comparison

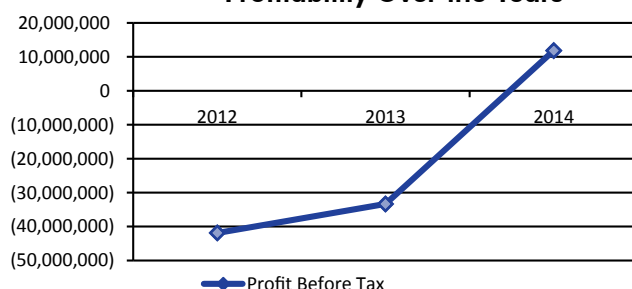


Net acquisition cost for the period under review is Rs 122 Million. Acquisition Cost as a % of Net Earned Premium stands at 42% for the year 2014 and was 46% in 2013. Buildup of the sales force and the extensive branch network has resulted in the increased Acquisition Cost.

Profitability

Arpico Insurance PLC is an infant compared to well established players in the industry. The company recorded losses in the first two years of commercial operations. With the rapid increase in the revenue which is mainly coming from the Gross Written Premium where the GWP has amplified by 44% and further due to effective control mechanisms, the company was able to generate Rs.12Mn profit before tax as at the end of the FY14.

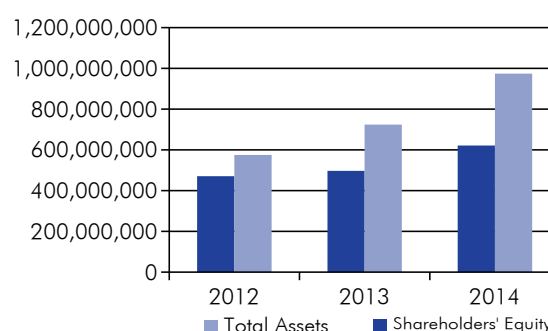
Profitability Over the Years



Asset Base

The total assets of the company as at the end of the financial year constituted for Rs.980Mn which is 35% increase over the previous year. It's noteworthy to mention the increase in the financial assets during the year under review which would showcase the company's financial position being strengthened day by day. It should also be noted that apart from the Rs 79 Million which was generated through the IPO the balance growth in the asset base was generated from the normal course of business.

Asset Base



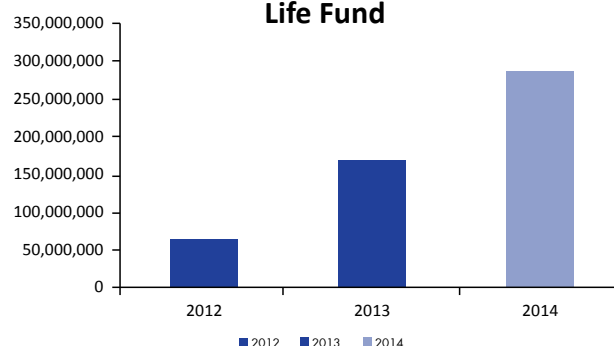
Solvency Margin

According to the guidelines issued by the Insurance Board of Sri Lanka (IBSL) every insurer should maintain a solvency margin to safe guard the interests of the policy holders. As at 31st of December 2014 Company maintained a solvency margin of 31 times.

Life Fund

In reviewing the Life Fund the company has shown significant growth in the life fund YOY since inception. Total Life Fund Stands at Rs 287 Million as at 31st December 2014, which is a growth of 70% over the position as at 31st December 2013. YOY growth in life fund is a good indication to show the strength and the ability of the company to fulfill its obligations to the policyholders in the future.

Life Fund





Corporate Governance

The Board of Directors of Arpico Insurance PLC is committed and takes responsibility to maintain the highest standards of Corporate Governance. We believe that good corporate governance is the essence of long term sustainable growth and it is not only meant at ensuring the company is well managed in the interest of stakeholders.

As a very young company we believe corporate governance is a continuous process. We are committed in reviewing the corporate governance framework on an ongoing basis and adopting the best practices with changing needs, opportunities and the growth of the company.

Arpico Insurance's corporate governance practices complies with the requirements given in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by Colombo Stock Exchange. This statement sets out the Corporate Governance policies, practices and processors adopted by the Board.

Board of Directors

Board of Directors provides the direction required towards the business and the affairs of the company. The board collectively and each director individually, act in good faith and in the best interest of the company.

The Board comprise of 4 directors of which two are non-executive directors and two are independent non-executive directors. Brief Profile of Directors are set out in page 11 to 12 in this report. The board has assessed the independence of the independent non-executive directors.

Name of the Director	Non-Executive Director	Independent Non-Executive Director
Mr. Viville Perera	✓	
Mr. Jagath Dissanayake	✓	
Mrs. Lasinee Serasinhe		✓
Mr. S. Sirikananathan		✓

Appointment of Directors

We have recognized the importance of having a Board with vibrant experience and skill set. To enhance the diversity in the Board Room Following appointments were made during the year 2014.

Name Of the Director	Date of Appointment	Type
Mr S Sirikananathan	17-January-2014	Independent Non-Executive Director
Mrs L Serasinhe	17-January-2014	Independent Non-Executive Director

As per Regulation of Insurance Industry Act , prior approval from the Insurance Board of Sri Lanka was obtained for the new appointments.

Appointment of directors is governed by the section 29 of the Articles of Association of the Company and accordingly an ordinary resolution of the shareholders was passed authorizing the appointments.

Meetings of the Board of Directors

During the year under review the board met on regular basis to deal with the ordinary business of the company. In addition, sub-committee meetings are held depending on the requirements. Directors are provided with the Board Papers well in advance to enable them to have sufficient time to review the affairs to be discussed and to arrive at important decisions. Secretary to the Board maintains detailed minutes of the Meetings of Board of Directors. Minutes are circulated to all Directors in a timely manner for their comments and record.

Board Responsibilities

Functions of the Board

The main functions of the Board are to:

- Direct the business and affairs of the Company.
- Formulate short and long term strategies, as a basis for the operational plans of the Company and monitor implementation.
- Report on their stewardship to shareholders.
- Identify the principal risks of the business and ensure adequate risk management systems are in place.
- Ensure internal controls are adequate and effective.
- Approve the annual capital and operating budgets and review performance against budgets.
- Ensure compliance with laws and regulations.
- Sanction all material contracts, acquisitions or disposal of assets.

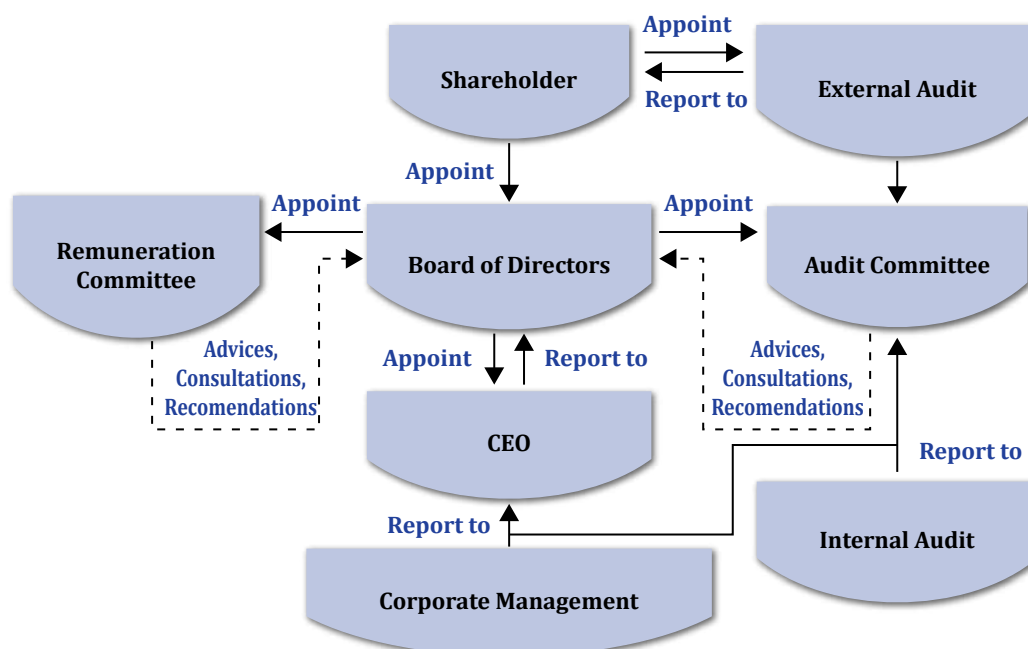
Corporate Governance (Contd.)

Independent Directors

Mr S Sirikananathan and Mrs L Serasinhe operate as Independent Non-Executive Directors. Their diverse experience and expertise in commercial, corporate and regulatory activities provides an independent view and judgement to the board.

Corporate Governance Structure

Corporate governance structure of Arpico Insurance is depicted in the following diagram.



Sub Committees of the Board

Board is responsible for the performance and the affairs of the company. The board performs its supervisory function by delegating the responsibility to sub committees which operates with in clearly defined terms of reference. Board is responsible for establishment, functioning and appointment of members for the sub committees of the Board.

Audit Committee

The Board has appointed the Board Audit Committee to overlook the affairs of audit and internal controls at Arpico Insurance. The committee consists of two Independent Directors. The Audit Committee report on pages 23 to 24 on this report will detail the activities carried out during

the year. Members of the Audit Committee are as follows:

Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Investment Committee

Board has appointed an Investment Committee to overlook the investment activities of the company. Committee consists of two Non-Executive Directors and

one Independent Non-Executive Director. Committee invites an external consultant for investment committee meetings to obtain his expertise on investments. Members of the investment committee are as follows:

Mr. Viville Perera	Non-Executive Director
Mr. Jagath Dissanayake	Non-Executive Director
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Remuneration Committee

Arpico Insurance is one of the group companies of the Richard Peiris and Company PLC. As such the Remuneration Committee of the Richard Peiris and Company PLC acts as the Remuneration Committee

Corporate Governance (Contd.)

of the Arpico Insurance. Report of the Remuneration Committee is on page 25 of this report.

Internal Controls

The Board is responsible for instituting an effective internal control system to safeguard the assets of the company and ensure that accurate and complete records are maintained from which reliable information is generated. The system includes all controls including financial, operational and risk management.

Apart from the strategic plans covering a three year time horizon a comprehensive budgetary process is in place where annual budgets, identifying the critical success factors and functional objectives are approved by the Board at the commencement of a financial year and its achievement monitored monthly through a comprehensive monthly management reporting system. Clear criteria and benchmarks have also been set out for the evaluation of capital projects and new investments.

The Internal Audit Division reporting to the Chairman of the Audit Committee regularly evaluates the internal control system across the organization and its findings are reviewed first by the Audit Committee and significant issues are thereafter reported to the Board. The Board reviewed the internal control procedures in existence and is satisfied with its effectiveness.

Compliance

The Board places significant emphasis on strong internal compliance procedures. The Financial Statements of the Company are prepared in strict compliance with the guidelines of the Sri Lanka Accounting Standards and other statutory regulations. Financial Statements are published quarterly in line with the Listing Rules of the Colombo Stock Exchange through which all significant developments are reported to shareholders quarterly. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

Going Concern

The Directors have continued to use the 'Going Concern' basis in the preparation of the Financial Statements, after careful review of the financial position and cash flow status of the company. The Board of Directors believes that the company has adequate resources to continue its operations for the foreseeable future.

Audit Committee Report

The Audit Committee Charter, approved by the Board of Directors defines the purpose, authority, composition, meetings and responsibilities of the committee.

Purpose

The purpose of the Audit committee is to:

- Assist the Board of Directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the Company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the Company's external auditors.
- Make recommendations to the Board on the appointment of external auditors, their remuneration and their terms of appointment.

Composition

The Audit Committee, appointed by the Board at a meeting held on 13 February 2014, comprised the following members:

- Mr. S Sirikananathan – Chairman
- Mrs L Serasinhe

Brief profiles of the members are given on pages 11 to 12 of the Annual Report.

Board Secretary functions as the secretary to the Audit Committee.

Meetings

The Committee met twice during the year. The Directors, the Group Audit Committee Chairman, the Chief Executive Officer, the Finance Manager and the Group Internal Auditors are generally invited to attend audit committee meetings. The key management personnel and the external auditors were invited to attend the audit committee meetings when their presence was considered necessary. Minutes of the audit committee meetings were tabled at meetings of the Board to ensure that all Directors were kept informed of the activities.

Internal Audit and Risk Management

The Audit Committee has reviewed and approved the internal audit program, ensured it covered major operational aspects and monitored the effectiveness of the internal audit. In this regard, the committee reviewed the internal audit findings and management responses thereto and where necessary, recommended corrective actions and monitored implementation.

Internal Controls

During its meetings the Audit Committee reviewed the adequacy and effectiveness of the internal control systems and the Company's approach to its exposure to the business and financial risks. The review also ensured that processes are in place to safeguard the assets of the organization and that the financial reporting system contemplated was in operation and could be relied upon in the preparation and presentation of Financial Statements. The Committee also noted that monthly comprehensive Financial Review Reports highlighting all key performance criteria were prepared and reviewed by the Management.

Financial Statements and Related Disclosures

The committee, in line with its responsibility to oversee the Company's process of financial reporting, reviewed the following areas to the extent it deemed necessary and appropriate in discussion with the external auditors and the management:

- Significant financial issues and judgements made in connection with preparation of the Company's financial Statements.
- Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/ LKAS).
- Requirements of the Companies Act No 07 of 2007 and the Regulation of Insurance Industry Act No 43 of 2000 and amendments thereto.

The Ordinary Share of the Company were listed on the Diri Savi board of the Colombo Stock Exchange with effect from 16 January 2015. The Audit Committee has reviewed the 4th quarter financial statements for 2014, being the first published financials and the financial statements for the year ended 31 December 2014 before issuance.

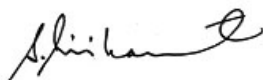
Audit Committee Report (Contd.)

External Auditors

The Audit Committee met with the external auditors, reviewed the audited financial statements and discussed all matters of relevance and significance.

The committee ensured that the non-audit services provided by the external auditors did not impair their independence and objectivity and such services were assigned in such manner so as to prevent any conflict of interest.

The Audit Committee has recommended to the Board of Directors that Messrs. Ernst and Young be reappointed as Auditors for the financial year ending 31st December 2015 subject to approval of shareholders at the next Annual General Meeting.



S. Sirikananathan
Chairman – Audit Committee
Colombo, Sri Lanka.

22 May 2015

Conclusion

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company, the assets are safeguarded and that all relevant laws, rules, regulations, code of ethics and standards of conduct have been followed.

Remuneration Committee Report

The Remuneration Committee of the Parent Company acted as the Remuneration Committee of Arpico Insurance PLC.

The Remuneration Committee, appointed by and responsible to the Board of Directors, consists of three independent Non Executive Directors, Prof. Lakshman R Watawala, Prof. Susantha Pathirana and Dr. S.A.B. Ekanayake. The Committee is chaired by Prof. Lakshman R Watawala. The committee met on several occasions during the financial year.

The Remuneration Committee has reviewed and recommended the following to the Board of Directors:

1. Policy on remuneration of the Executive Staff.

The committee has taken into account the competitive environment in the insurance industry in determining the salary structure.



Prof. Lakshman R Watawala
Chairman

22 May 2015

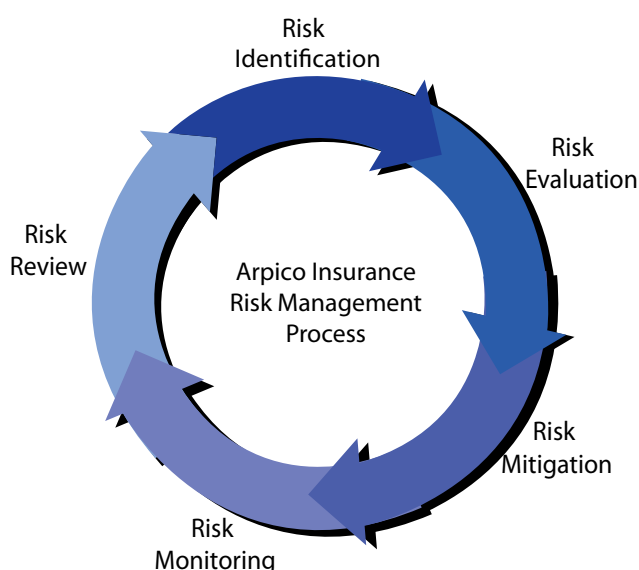
Risk Management

The concept of Risk is an inevitable phenomenon inherent to the business environment. Current dynamic business environment presents businesses with ever-changing risks, this is amplified by the fact insurance business in essence is involved in accepting the risk of the insured. Risk Management Process is a key aspect of Arpico Insurance's strategy formulation and is guided by a defined risk management process.

Board of Arpico Insurance understands the importance of the risk management process and is committed to evaluate the risk management process on a regular basis. Risk Management process is supervised by at the board level through the Risk Management and Compliance Committee which is represented by two Independent Non-Executive Directors.

We understand risk management can apply to all levels of the Company and the Risk Management is in built to the operational processors of the Company.

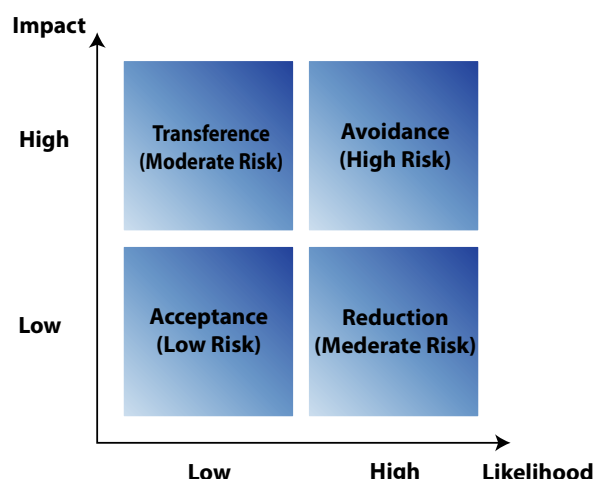
Risk can have both positive and negative impact to the company and going beyond the traditional perception of risk management which addresses only the down sides, we believe in taking initiatives to minimize the downsides of risk whilst seeking for upside of risks to the advantage of Arpico Insurance.



Arpico Insurance critically assesses its internal and external environments to identify the current risks that the company is exposed to and to identify any new risks which will have an impact on the company. Company has categorized all the risks it faces in to following broad categories

- Life Insurance Risk
- Re-Insurance Risk
- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk
- Compliance Risk

The identified risks are then assessed and based on the probability and impact are mapped in to a grid:



Based on the risk rating, risk mitigation strategy is laid down for each risk identified. In response to the risk mitigation strategy we continuously monitor the effectiveness of actions taken. Ultimately a review of the risk management process are carried out by evaluating the gross risks with the net risks and then document the impact to continue with the sustainable risk management cycle.

Risk Management (Contd.)

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Life Insurance Risk	This refers to the risk of accepting insurance business. This can result from accepting business with high exposure to claims. This can be due to high death experience than expected (Mortality risk), health related claims which are more than expected (morbidity risk) or Policy holder living more than expected. (Longevity risk)	High	• Strict adherence to underwriting manual . • Input taken from reinsurers and consultant actuary in deciding the policy conditional and pricing of products. • Only registered laboratories are used when obtaining medical reports and regular monitoring of the services render by the laboratories. • Continuous training and Development of staff.
Reinsurance Risk	Risk of retaining beyond company's capability and the inability of the reinsurer to meet its obligations.	Moderate	• Company deals with Munich Re which is the No 1 reinsurer in the world. • Board Reviews the reinsurance program annually. • Very close and professional relationship maintained with the reinsurer. • No cover is issued without reinsurance backing except few plans which is written on net account basis.
Credit Risks	Credit risk is the risk of financial losses if the counter party fails to honor the payment obligation under a contract.	Moderate	• Corporate debt investments are placed in institutions whose rating is above "BBB+ (Ikr)." • Strict adherence to investment policy statement in terms of the investments placed. • Continuous monitoring of the credit worthiness of counter parties.

Risk Management (Contd.)

Liquidity Risks	Inability to meet contractual obligations eg: claim payment	Low	• Large proportion of investments held in investments readily tradable and liquid. • Investment committee continuously monitors the asset liability management aspect of the company.
Market Risk	Impact on the investment portfolio due to changes in the interest rate.	High	• Investment committee reviews the portfolio on a regular basis and decides on investment strategy and future outlook.
Operational Risk	Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.	Moderate	• Development of strategic plan. • Responsibility for all levels has been delegated effectively with clear definition. • Adequate investment were done in IT infrastructure.
Compliance Risk	Compliance risk is the risk of noncompliance with the laws and regulations. Also this addresses the risk that arises from any changes in laws and regulatory frameworks.	Moderate	• Consistently review and update key regulatory developments to anticipate changes and their potential impact on performance. • Periodically review and improve company's existing policies and procedures on compliance. • Periodically review the status of compliance of the company.



Annual Report of the Board of Directors on the Affairs of the Company

General

The Board of Directors have pleasure in presenting their report to the members, together with the audited Consolidated Financial Statements of Arpico Insurance PLC, a limited liability Company incorporated in Sri Lanka on 22nd June 2011 under Companies Act No. 7 of 2007.

Board of Directors approved this report at the Board meeting held on 22nd May 2015.

The details given below provide information required by the Companies Act No.7 of 2007 and are guided by the recommended best accounting practices.

Principal Activities

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. There were no significant changes in the nature of principal activities of the company during the financial year under review. The company has not engaged in any activities, which contravene laws and relevant regulations.

Vision Mission and Corporate Values

Company's Vision and Mission are provided in Page No 03 of this Annual Report. Directors ensure business activities of the company are carried out within the framework of objectives of Vision and Mission and in conformity with the values of the company which reflects commitment to highest ethical standards and integrity.

Review of Company Performance

The CEO's review, Review of Operations, Financial Review and Other statements in this Annual Report briefly describe the performance of the company during the current financial year. These reports together with Financial Statements reflect results and state of affairs of the company.

Future Development

An Overview of future developments of the company is presented in the Acting Chairman's Message (page 06) & CEO's Review (Page 08).

Financial Statements and Auditors' Report

The financial statements of the company are prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of chartered Accountants of Sri Lanka and comply with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act no 43 of 2000 and other rules and regulations of IBSL.

The financial statements of the company for the year ended 31st December 2014 duly signed by the Finance Manager and two Directors are given on the pages 36 to 72, which form an integral part of the Annual Report of the Board of Directors.

Auditors Report

The Financial Statements for the year ended 31st December has been audited by Messrs Ernst and Young. Auditors report complied on the Financial Statements are on page 35 of this Annual Report.

Auditors

The company's auditors during the period under review were Messrs. Ernst & Young.

In accordance with the Companies Act no 7 of 2007, a resolution proposing re appointment of Messrs Ernst and Young, Chartered Accountants as Auditors to the company and authorizing the Directors to fix their remuneration will be proposed at the Annual General Meeting.

A sum of Rs. 421,906 was paid to them as the Audit fees for the year under review.

Independence of Auditors

Based on the declaration provided by Messrs Ernst and Young and as far as the Directors are aware, the auditors do not have any relationship or interest in the company other than those disclosed in this publication.

Accounting Policies

Details of the Accounting Policies are discussed in pages 41 to 53 in the financial statements. There are no significant changes in the accounting policies adopted with those of the previous year.

Turnover/ Gross Written Premium

The table below gives growth in turnover and the growth in respect of year 2014. Further details on financial performance are shown under Financial Statements on page 54.

Annual Report of the Board of Directors on the Affairs of the Company

	2014 in '000s	Growth	2013 in '000s	Growth
FYP	230,068	24%	185,208	82%
Renewal	67,371	217%	21,286	N/A
Total	297,439	44%	206,494	103%

Results

The company recorded a profit of Rs 12.9 million for the year. A synopsis of the company's performance is presented below.

	2014 Rs '000	2013 Rs '000
Profit/(Loss) Before Tax	12,978	(33,346)
Income Tax Expense	-	-
Profit/(Loss) After Tax	12,978	(33,346)

Provision for Taxation

The tax position of the company is disclosed in Note 11 (page 55) to the financial statements.

Property, Plant and Equipment

The book value of Property, Plant & Equipment of the Company stood at LKR 15 Million as at the Balance Sheet date. Further details and its movement during the year are given in Note 13 (Page 56) to the Financial Statements.

Investments

Investments of the Company amounted to LKR 843 Million. Detailed description of the Investments held as at the Balance Sheet date are given in Note 14 to the Financial Statements. (Page 56)

Stated Capital

In compliance with the Companies Act No. 7 of 2007, the financial statements reflect the stated capital of the company. The total capital and reserves stood at Rs. 675 million as at 31st December 2014, details of which are provided in Statement of changes in Equity. (Page 40)

Human Resources

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating a strong value system and ethics in our employees. The Company is focused on developing employee abilities in optimizing results. These policies and procedures ensure the equitable treatment of all employees.

Board of Directors

Board of Directors of the company consists of four (04) Directors with wide financial knowledge and experience. Names of the Directors who held office is given below with a brief profile of them appearing in pages 11 to 12

Name of the Director	Status
Mr W J V P Perera	Non Executive Director
Mr N J K Dissanayake	Non Executive Director
Mr S Sirikananathan	Independent Non Executive Director
Mrs L S A Serasinhe	Independent Non Executive Director

Appointment of Directors

Mr S Sirikananathan and Mrs L S A Serasinhe was appointed to the Board as Independent Non Executive Directors with effect from 17th January 2014

Directors Interest in Contracts with the Company

Directors interest in contracts in relation to transactions with related entities, transactions with Key Management personnel and other related disclosures are stated in Note 30 (Related Party Disclosure) to the financial statements.

Conforming to the provisions of the Companies Act no 7 of 2007 the company has maintained Director's Interest Register.

Directors Interest in Shares

Shareholding by Directors who held office during the financial year is as follows

Name of the Director	2014 No of Shares	2013 No of Shares
Mr W J V P Perera	Nil	Nil
Mr N J K Dissanayake	Nil	Nil
Mr S Sirikananathan	Nil	N/A
Mrs L S A Serasinhe	Nil	N/A

Directors' Responsibility for Financial Reporting

Statement of Directors Responsibility is given on Page 33 of this publication

Board Sub Committees

Board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific

Annual Report of the Board of Directors on the Affairs of the Company

functions of the company. The sub committees consist of a Board Audit Committee, Risk and Compliance Committee and an Investment Committee.

Corporate Governance and Internal Controls

The policy adopted by the company in relation to best practices and good governance is given on page 20 to 28 of this publication. The Board has overall responsibility for the company's system of internal controls. The Company has put in place a system of internal controls to carry on the business of insurance in an orderly and efficient manner, so as to safeguard its assets and ensure as far as possible the accuracy and reliability of financial records. Controls over the financial reporting were also reviewed during the year to ensure that the financial reporting process in place is up to date and effective.

Statutory Payments

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The Company has not engaged in any activity against the prevailing laws and regulations. Compliances with provisions in laws and regulations are confirmed to the Board of Directors at Board Meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in Note 31 (page 71) to the financial statements.

Going Concern

The Board of Directors has reviewed the Company's business plan, future prospects, its risk profile and the other requirements such as cash flow and future capital expenditure and is satisfied that the company has adequate resources to continue its operations in the foreseeable future. Accordingly Financial Statements are prepared based on the going concern concept.

For and on behalf of the Board,

22 May 2015



Director
(W.J. Viville P. Perera)



Director
(N. Jagath Dissanayake)



Board Secretary

Director's Responsibility for Financial Reporting

The following statement comprises the responsibility of the Directors in relation to the Financial Statements of the company prepared in accordance with the provisions of the Companies act, No.7 of 2007.

As per the Companies Act, No.7 of 2007 the Directors are required to prepare Financial Statements for each financial year, which gives a true and fair view of the state of affairs of the company as at end of the financial year and the profit and loss for the financial year.

They confirm that they have provided the Auditors of the Company with the opportunity to carry out necessary audit work to conduct their audit.

In preparing these financial statements the Directors are required to ensure that:

- a) Appropriate accounting policies have been selected and applied in a consistent manner, material departures, if any have been disclosed and explained.
- b) Reasonable and prudent judgments and estimates have been made.
- c) All applicable and Accounting Standards as relevant have been followed.

The Directors also have a responsibility to ensure that the Company has adequate resources to continue in business for the foreseeable future, the Financial Statements continue to be prepared on the going concern basis.

The Directors have also taken reasonable steps to establish and maintain appropriate systems of internal controls to safeguard the assets of the company, prevent and detect frauds and other irregularities.

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments payable by the Company as at Balance sheet date have been paid or where relevant, provided for.

The Directors are confident that they have discharged their responsibilities as set out in this statement.

By Order of the Board

R Singh

Board Secretary

Colombo, Sri Lanka

22 May 2015



Actuarial & Management
Consultants (Pvt) Limited

1st Floor, 434, R.A. De Mel Mawatha, Colombo 03, Sri Lanka. Telephone (94)112575280 / (94)112301079 Fax : (94) 112301079

22 May, 2015

To the Shareholders of Arpico Insurance PLC

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2014

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December, 2014. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December, 2014, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date.
- 3) The Long Term Insurance Fund as included in the audited accounts as at 31 December, 2014, exceed the required actuarial reserves as at 31 December 2014 by Rs.57.098 million before allocation of provision for contingencies, provision for solvency margin and any transfer to shareholders.
- 4) The solvency margin required under the Regulation of Insurance Industry Act No.43 of 2000 is Rs.12.203 million, and is fully provided for.


M POOPALANATHAN
ACTUARY

Independent Auditor's Report



Ernst & Young
Chartered Accountants
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P.O. Box 101
Colombo 10
Sri Lanka

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Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@rik.ey.com
ey.com

TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Arpico Insurance PLC, ("the Company"), which comprise the statement of financial position as at 31 December 2014, and the statement of income, statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2014, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on other legal and regulatory requirements

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion, scope and limitations of the audit are as stated above
- b) In our opinion :
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company, and
 - the financial statements of the Company comply with the requirements of Section 151 of the Companies Act No. 07 of 2007

As required by Section 47(2) of the regulation of Insurance Industry Act No.43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Board of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

22 May 2015
Colombo

Partners: A D B Talwatte FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H Fernando FCA FCMA
W K B S P Fernando FCA FCMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA ACMA

A member firm of Ernst & Young Global Limited

Income Statement

Year Ended 31 December 2014	Notes	2014 Rs.	2013 Rs.
Total revenue	4	363,920,079	284,417,562
Gross premium	5 (a)	297,439,405	206,494,248
Premium ceded to reinsurers	5 (b)	(11,944,255)	(12,593,608)
Net written premiums		285,495,150	193,900,640
Other revenue			
Fees and commission income	6	2,983,134	2,153,764
Investment income	7	73,303,028	85,848,693
Net realised gains		16,342	-
Other operating revenue		2,122,425	2,514,465
Total other revenue		78,424,929	90,516,922
Net income		363,920,079	284,417,562
Net insurance benefits and claims paid	8 (a)	(41,509,012)	(25,462,975)
Net change in insurance claims outstanding	8 (b)	1,393,393	(4,656,106)
Underwriting and net acquisition cost	9	(121,979,708)	(90,786,151)
Change in contract liabilities - Life Fund	23	(97,915,660)	(110,543,800)
Other operating and administrative expenses	10	(90,921,865)	(86,314,272)
Total benefits, claims and other expenses		(350,932,852)	(317,763,304)
Profit/(Loss) before tax		12,987,227	(33,345,742)
Income tax expense	11(a)	-	-
Profit/(Loss) for the year		12,987,227	(33,345,742)
Earning/(Loss) per share - Basic	12	0.22	(0.60)

The accounting policies and notes as set out in pages 41 to 72 form an integral part of these financial statements.

Statement of Comprehensive Income

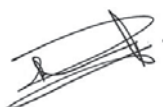
Year Ended 31 December 2014	Notes	2014 Rs.	2013 Rs.
Profit/(Loss) for the year		12,987,227	(33,345,742)
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	23	20,737,232	(7,017,038)
Fair value movement of AFS reserve transferred to life fund	23	(20,737,232)	5,765,646
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurment gain on defined benefit plan		64,688	1,046,323
Other comprehensive income for the year, net of tax		64,688	(205,069)
Total comprehensive income for the year, net of tax		13,051,915	(33,550,811)

The accounting policies and notes as set out in pages 41 to 72 form an integral part of these financial statements.

Statement of Financial Position

As at 31 December 2014	Notes	2014 Rs.	2013 Rs.
Assets			
Property, plant and equipment	13	15,751,158	11,270,647
Financial assets	14	842,968,366	578,357,340
Loans to life policyholders	15	19,697,180	17,754,622
Reinsurance receivable	16	5,146,884	5,380,700
Amounts due from related party	17	-	2,609,411
Premium receivable	18	10,575,714	4,044,509
Other assets	19	35,505,224	27,627,629
Cash in hand and at bank	20	51,098,123	76,520,726
Total assets		980,742,649	723,565,583
Equity and liabilities			
Shareholders' equity			
Stated capital	22	675,564,870	563,000,070
Retained earnings		(54,268,815)	(66,091,889)
Other components of equity		-	-
Total ordinary shareholders' equity		621,296,055	496,908,181
Liabilities			
Insurance contract liabilities	23	287,030,582	168,377,691
Employee benefit obligation	24	1,754,563	1,069,194
Reinsurance creditors	25	10,529,932	12,498,676
Amounts due to related party	26	3,702,739	10,356,383
Other financial liabilities	27	44,759,428	29,647,658
Other liabilities	28	6,212,199	2,889,823
Bank overdraft	20	5,457,151	1,817,977
Total liabilities		359,446,594	226,657,402
Total equity and liabilities		980,742,649	723,565,583

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



.....
Finance Manager
(Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the Board.



.....
Director
(W.J. Viville P. Perera)



.....
Director
(N. Jagath Dissanayake)

The accounting policies and notes as set out in pages 41 to 72 form an integral part of these financial statements.
22 May 2015
Colombo

Cash Flow Statement

Year Ended 31 December 2014	Notes	2014 Rs.	2013 Rs.
Cash flows from operating activities			
Premium received from customers		290,908,200	203,501,023
Reinsurance premium paid		(10,645,526)	(10,863,209)
Claims paid		(39,981,742)	(29,053,153)
Reinsurance receipts in respect of claims		2,487,584	3,411,683
Other operating cash payments		(103,211,017)	(103,392,411)
Cash generated from operating activities	Note A	139,557,497	63,603,933
Tax paid		(4,984,134)	(7,356,877)
Net cash generated from operating activities		134,573,365	56,247,056
Cash flows from investing activities			
Net drawdown of investments		(266,450,397)	(60,094,729)
Purchase of property, plant and equipment		(8,520,706)	(4,738,321)
Disposal of property, plant and equipment		-	594,546
Net cash flows used in investing activities		(274,971,103)	(64,238,504)
Cash flows from financing activities			
Issue of share capital		112,564,800	60,000,000
Share issue expenses		(1,228,841)	-
Net cash generated from financing activities		111,335,959	60,000,000
Net increase in cash and cash equivalents	Note B	(29,061,779)	52,008,553
		2014 Rs.	2013 Rs.
A. Reconciliation of operating profit with cash flows from operating activities			
Profit /(Loss) before tax		12,987,227	(33,345,741)
Depreciation charge		4,040,195	3,099,262
(Increase) / Decrease in reinsurance receivable		233,816	(1,738,863)
(Increase) / Decrease in premium receivable		(6,531,205)	(2,993,226)
(Increase) / Decrease in policy holders loans		(1,942,558)	(15,543,541)
(Increase)/Decrease in other assets		(284,052)	(8,082,771)
Increase / (Decrease) in life fund		118,652,891	104,778,055
Increase/(Decrease) in creditors		11,780,501	16,801,309
Increase in retirement benefits		750,057	674,449
Cash flows from operating activities		139,686,873	63,648,933
B. Increase in cash and cash equivalents			
Cash in hand and at bank		51,098,122	76,520,726
Bank overdrafts		(5,457,151)	(1,817,977)
Net cash and cash equivalents for the current year		45,640,971	74,702,749
Net cash and cash equivalents at the beginning of the year		74,702,749	(22,694,196)
Net increase in cash and cash equivalents		(29,061,779)	52,008,553

The accounting policies and notes as set out in pages 41 to 72 form an integral part of these financial statements.

Statement of Changes in Equity

Year Ended 31 December 2014	Stated Capital Rs.	Revenue Reserve Rs.	AFS Reserve Rs.	Total Equity Rs.
As at 1 January 2013	503,000,070	(33,792,470)	1,251,392	470,458,992
Issue of share capital	60,000,000	-	-	60,000,000
Loss for the Year	-	(33,345,742)	-	(33,345,742)
Other comprehensive income	-	1,046,323	(1,251,392)	(205,069)
Total comprehensive income	-	(32,299,419)	(1,251,392)	(33,550,811)
As at 31 December 2013	563,000,070	(66,091,889)	-	496,908,181
Issue of share capital	112,564,800	-	-	112,564,800
Share issue expenses	-	(1,228,841)	-	(1,228,841)
Profit for the year	-	12,987,227	-	12,987,227
Other comprehensive income	-	64,688	-	64,688
Total comprehensive income	-	13,051,915	-	13,051,915
As at 31 December 2014	675,564,870	(54,268,815)	-	621,296,055

The accounting policies and notes as set out in pages 41 to 72 form an integral part of these financial statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 Reporting Entity

Arpico Insurance PLC (formerly known as Arpico Insurance Limited) ("Company") is a limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal Activities and Nature of Operations

Company is primarily engaged in carrying out Life Insurance business. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent Enterprise

The Company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of Authorization for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2014 were authorized for issue by the board of directors on 22 May 2015.

2. BASIS OF PREPARATION

2.1.1 Statement of Compliance

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act No.7 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

2.1.2 Changes in Accounting Policies

The accounting policies adopted by the company is consistent with those used in the previous year except for the Fair Value Measurement (SLFRS 13). Changes to the disclosure requirements on the adoption of SLFRS 13 - Fair Value Measurement have been disclosed under note 14 (c).

The Company Financial Statements include the following components:

- The Statement of Financial Position providing information on the financial position of the Company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the Company for the year under review;
- The Statement of Changes in Equity depicting all changes in shareholders';
- The Statement of Cash Flows providing information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

Notes to the Financial Statements

2.2 Basis of Measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and basis of measurement	Note No.
Available-for-sale financial assets are measured at fair value	14

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.3 Going Concern

When preparing the Financial Statements the Directors have assessed the ability of the company to continue as a going concern. The Directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

2.4 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

2.5 Use of Estimates and Judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

(a) Insurance contract liabilities

The liability for Life Insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in Note 23. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as

Notes to the Financial Statements

wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing Life Insurance contracts. These estimates are based on current market returns, as well as expectations about future economic and financial developments.

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the Company's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Company's own risk exposure.

(b) Valuation of employee benefit obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 24.

(c) Provisions for Liabilities and Contingencies

The Company receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due process in respective legal jurisdictions.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Insurance Contracts

Product classification

Insurance contracts are those contracts when the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the Company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial Valuation of Life Insurance Fund

The Directors agree to the long term insurance provision for the Company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the Life Insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

3.2 Property, Plant and Equipment

3.2.1 Basis of Recognition

Property, Plant and Equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant and Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

3.2.2 Measurement

An item of Property, Plant and Equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

3.2.3 Subsequent Costs

The cost of replacing a part of an item of Plant and Equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day to day servicing of Property, Plant and Equipment is charged to the Statement.

3.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

Notes to the Financial Statements

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years

3.2.6 De-recognition

The carrying amount of an item of Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of Property, Plant and Equipment is included in the Statement of Income when the item is derecognised.

3.3 Impairment of Non-Financial Assets

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

3.4 Financial Assets

3.4.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The Company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the Company's ability.

Notes to the Financial Statements

The Company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Available for Sale
Repos	Loans and Receivables
Corporate Bonds	Loans and Receivables
Fixed Deposits	Loans and Receivables
Policy Loans	Loans and Receivables

3.4.2 Subsequent measurement

(a) Loans and Receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company also decided to classify unquoted Corporate Debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the income statement in the 'Investment Income' and removed from the available-for-sale reserve.

The Company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the Company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the Company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired then the amount recorded in equity is reclassified to the income statement.

3.4.3 De-recognition

The company derecognises a financial asset when

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

- (a) The company has transferred substantially all the risks and rewards of the asset, or
- (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.4.5 Fair Value Measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only

data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

3.4.6 Impairment of Financial Assets

The Company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available for sale financial asset

For available-for-sale financial investments, the Company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

3.5 Deferred Tax

Tax losses incurred are utilized to recognize a deferred tax asset up to the extent of the deferred tax liability arising from taxable temporary differences. Thus no deferred tax asset is recognized in the financial statements as it is not probable that the future taxable profits would be adequate to utilize the available tax losses fully in the foreseeable future.

3.6 Reinsurance Contracts

The Company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

3.7 Premium Receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life Insurance premiums (only the premiums due in the 30 day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the Company policy.

3.8 Cash and Cash Equivalents

Cash and Cash Equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

3.9 Insurance Contract Liabilities

3.9.1 Life Insurance Contract Liabilities

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the net premium method as specified by the Insurance Board of Sri Lanka (IBSL) based on the recommendation of the Independent Consultant Actuary. The liability is determined as the sum of the discounted value of the expected future benefits, less the discounted value of the expected future premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is computed based on IBSL specified guidelines and current assumptions which vary based on the contract type.

Furthermore, adjustments are performed to capture the likely liabilities that may arise due to currently lapsed contracts reviving in the future.

3.9.2 Liability Adequacy Test

As required by the SLFRS 4- Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

3.10 Financial Liabilities

3.10.1 Initial Recognition and Measurement

Financial Liabilities within the scope of LKAS 39 are classified as financial Liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

3.10.2 Subsequent Measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial Liabilities at Fair value through Profit or Loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognized in the Statement of Income. The company has not designated any financial liabilities upon initial recognition as at fair value through profit or loss.

(b) Other Financial Liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

3.10.3 De-recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

3.11 Employee Benefits

(a) Defined Benefit Plan – Gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the payment of gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits.

The initial cost, the gratuity charge for the period and the gain/loss on change in assumptions after the initial adoption, if any, is included as an expense/income in the statement of income. Gratuity liability was not previously recognized in the financial statements as the company was incorporated in June 2011. The gratuity liability is not externally funded.

(b) Defined Contribution Plans – Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contribution and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes a defined percentage of gross emoluments of employees to an approved Provident Fund and to the Employees' Trust Fund respectively.

3.12 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

3.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.14 Equity movements

3.14.1 Stated capital

The Company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

3.14.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

3.15 Revenue Recognition

(a) Gross Premium

Gross recurring premiums on life are recognised as revenue when payable by the policyholder. For single premium business revenue is recognized on the date on which the policy is effective.

(b) Reinsurance Premium

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and Commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognised as revenue upon receipt or becoming due.

(d) Investment Income

Interest incomes for all interest-bearing financial are recognised within 'investment income' in the Income Statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other Income

Other income is recognised on an accrual basis.

3.16 Benefits, Claims & Expenses recognition

(a) Gross Benefits and Claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are disclosed in the statement.

(b) Reinsurance Claim Recoveries

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses Recognition

Expenses are recognised in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of income.

3.17 Cash Flow Statement

The Cash Flow Statement has been prepared using the Indirect Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

3.18 Standards issued but not yet effective

The following SLFRSs have been issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) that have an effective date in the future and have not been applied in preparing these Financial Statements. Those SLFRSs will have an effect on the accounting policies currently adopted by the Company and may have an impact on the future Financial Statements.

Notes to the Financial Statements

Sri Lanka Accounting Standard (SLFRS 9) –“Financial Instruments: Classification and Measurement”

SLFRS 9, reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities. This standard was originally effective for annual period commencing on or after 01 January 2018.

However the effective date has been deferred subsequently.

Sri Lanka Accounting Standard (SLFRS 15) –“Revenue from Contracts with Customers”

SLFRS 15 establishes a new five-step model that will apply to revenue arising from contracts with customers. Under SLFRS 15 revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The principles in SLFRS 15 provide a more structured approach to measuring and recognising revenue. The new revenue standard is applicable to all entities and will supersede all current revenue recognition requirements under SLFRS. Either a full or modified retrospective application is required for annual periods beginning on or after 1 January 2017 with early adoption permitted. The Company is currently assessing the impact of SLFRS 15 and plans to adopt the new standard on the required effective date.

Notes to the Financial Statements

Year Ended 31 December

4. REVENUE	Notes	2014 Rs.	2013 Rs.
Gross written premium	5 (a)	297,439,405	206,494,248
Premium ceded to reinsurers	5 (b)	(11,944,255)	(12,593,608)
Net written premium		285,495,150	193,900,640
Fees and commission income		2,983,134	2,153,764
Investment income		73,303,028	85,848,693
Other operating revenue		2,122,425	2,514,465
Net realised gains		16,342	
Total revenue		363,920,079	284,417,562
5. NET WRITTEN PREMIUMS		2014 Rs.	2013 Rs.
5 (a) Gross premiums on insurance contracts		297,439,405	206,494,248
Total gross written premiums		297,439,405	206,494,248
5 (b) Premiums ceded to reinsurers on insurance contracts		2014 Rs.	2013 Rs.
Conventional policies		11,944,255	12,593,608
Total premiums ceded to reinsurers		11,944,255	12,593,608
Total net written premiums		285,495,150	193,900,640
6. FEES AND COMMISSION INCOME		2014 Rs.	2013 Rs.
Policyholder administration fees		2,983,134	2,153,764
Total fees and commission income		2,983,134	2,153,764
7. INVESTMENT INCOME		2014 Rs.	2013 Rs.
Interest income			
Financial Assets - Available for sale		16,033,353	11,050,903
Financial Assets - Loans and Receivable		57,269,675	74,797,790
Total investment income		73,303,028	85,848,693
8. NET BENEFITS AND CLAIMS		2014 Rs.	2013 Rs.
8 (a) Net insurance benefits and claims paid			
Gross benefits and claims paid			
Hospitalization		34,579,007	26,033,899
Death		3,316,800	115,107
Surrender payments		5,866,973	1,465,628
		43,762,780	27,614,634
Claims ceded to reinsurers			
Hospitalization		(2,253,768)	(2,109,659)
Death		-	(42,000)
		(2,253,768)	(2,151,659)
Total net insurance benefits and claims paid		41,509,012	25,462,975
8 (b) Net change in insurance claims outstanding			
Gross change in contract liabilities			
Hospitalization		(613,504)	7,654,992
Change in contract liabilities ceded to reinsurers			
Hospitalization		(779,889)	(2,998,886)
Total net change in insurance claims outstanding		(1,393,393)	4,656,106
Total net benefits and claims		40,115,619	30,119,080

Notes to the Financial Statements

Year Ended 31 December

9. UNDERWRITING AND NET ACQUISITION COSTS

	2014 Rs.	2013 Rs.
Commission expenses	36,660,503	26,422,836
Direct marketing cost	85,319,205	64,363,315
	<u>121,979,708</u>	<u>90,786,151</u>

10. OTHER OPERATING AND ADMINISTRATIVE EXPENSES

	2014 Rs.	2013 Rs.
Employee benefits expense	25,763,425	21,082,838
Administration & establishment expenses	43,004,133	30,058,905
Selling expenses	16,014,121	10,788,913
Depreciation on property and equipment	4,040,195	3,099,262
Audit and non audit fee including expenses	1,790,000	1,284,354
Other cost	309,991	20,000,000
Total other operating and administrative expenses	<u>90,921,865</u>	<u>86,314,272</u>

10(a) Employee benefits expense

	2014 Rs.	2013 Rs.
Wages and salaries including bonus & incentives	23,166,118	18,045,101
Contributions to employee benefit obligation plans	376,912	1,377,149
Employees' Provident Fund	1,776,193	1,328,470
Employees' Trust Fund	444,202	332,118
Total employee benefits expense	<u>25,763,425</u>	<u>21,082,838</u>

11. INCOME TAX EXPENSE

The major components of income tax expense for the years ended 31 December 2014 and 2013 are:

11(a) Current year tax charge

	2014 Rs.	2013 Rs.
Current tax		
Income tax	-	-
Total current tax	<u>-</u>	<u>-</u>

11(b) Reconciliation of tax charge

	2014 Rs.	2013 Rs.
Profit/(Loss) before tax	12,987,227	(33,345,742)
Taxable investment income	73,303,028	85,848,693
Allowable Expenses	(212,103,742)	(177,100,424)
Taxable Income/(loss)	<u>(138,800,714)</u>	<u>(91,251,731)</u>
Statutory rate	28%	28%
Tax expense at applicable rate	-	-
Total tax charge for the year	<u>-</u>	<u>-</u>

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provisions of Inland Revenue Act No.10 of 2006 and subsequent amendments thereto. There is no income tax expense recognised as Life Insurance dose not have an income tax expense so far.

12. EARNING/(LOSS) PER SHARE

Basic earnings/(loss) per share amount is calculated the net profit/(loss) for the year attributable to ordinary shareholders of the Company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2014 Rs.	2013 Rs.
Profit/(Loss) for the year	12,987,227	(33,345,741)
Weighted Average Number of Ordinary Shares (Nos)	59,302,650	55,300,007
Basic Earning/(Loss) per ordinary share Rs	0.22	(0.59)

Notes to the Financial Statements

Year Ended 31 December

12.1. Weighted average number of ordinary shares

Ordinary shares at the beginning of the year
Effect of issue of shares for cash consideration

	2014	2013
	Rs.	Rs.
Ordinary shares at the beginning of the year	56,300,007	50,300,007
Effect of issue of shares for cash consideration	3,002,643	5,000,000
	<u>59,302,650</u>	<u>55,300,007</u>

As at 31 December

13. PROPERTY, PLANT AND EQUIPMENT

Cost	Office Equipment	Furniture & Fittings	Computer	Total
As at 1 January 2014	1,737,640	8,752,374	5,653,154	16,143,168
Additions	852,214	5,842,952	1,825,540	8,520,706
As at 31 December 2014	<u>2,589,854</u>	<u>14,595,326</u>	<u>7,478,694</u>	<u>24,663,874</u>
Accumulated depreciation				
As at 1 January 2014	315,809	2,345,936	2,210,776	4,872,521
Depreciation charge for the year	366,867	2,086,544	1,586,784	4,040,195
As at 31 December 2014	<u>682,676</u>	<u>4,432,480</u>	<u>3,797,560</u>	<u>8,912,716</u>
Carrying amount				
As at 31 December 2014	<u>1,907,178</u>	<u>10,162,846</u>	<u>3,681,134</u>	<u>15,751,158</u>
As at 31 December 2013	1,421,830	6,406,438	3,442,378	11,270,647

13.1 Acquisition of property, plant & equipment during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs.8.5 Million (2013 - Rs. 4.7 Million). Cash payments amounting to Rs. 8.5 Million (2013 - Rs. 4.7 Million) were made during the year to purchase of property, plant & equipment.

13.2 PPE pledged as security for Liabilities

There were no items of Property, Plant and Equipment pledged as securities for liabilities during the year. (2013 - Nil)

13.3 Temporarily idle Property, Plant and Equipments

There were no temporarily idle property as at the year ended 31December 2014. (2013 - Nil)

14. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2014	2013
	Rs.	Rs.
Loans and receivables	563,119,628	453,869,997
Available-for-sale financial assets	279,848,738	124,487,343
Total financial instruments	<u>842,968,366</u>	<u>578,357,340</u>

The following table consists of the fair values of the financial investments together with their carrying values.

		2014		2013	
		Carrying value	Fair value	Carrying value	Fair value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	14 (a)	563,119,628	563,119,628	453,869,997	453,869,997
Available-for-sale financial assets	14 (b)	279,848,738	279,848,738	124,487,343	124,487,343
Total financial instruments		<u>842,968,366</u>	<u>842,968,366</u>	<u>578,357,340</u>	<u>578,357,340</u>

Available-for-Sale investments have been valued at fair value and Loans and Receivable investments are valued at amortised cost.

14(a) Loans and receivables

	2014	2013
	Rs.	Rs.
Investments in Corporate Debt	260,069,061	433,869,997
Investments in Fixed Deposit	64,832,877	-
Investments in Repo	258,217,691	40,000,000
	<u>583,119,628</u>	<u>473,869,997</u>
Provision for Impairment	(20,000,000)	(20,000,000)
	<u>563,119,628</u>	<u>453,869,997</u>

The company's investment amounting to Rs.40Mn is currently in dispute and the company has initiated legal action against the investee and the directors are confident on the recovery of the above balance.

Notes to the Financial Statements

As at 31 December

14 (b) Available for sale financial assets

Treasury Bonds
Treasury Bills

	2014 Rs.	2013 Rs.
Treasury Bonds	114,440,819	60,854,083
Treasury Bills	165,407,919	63,633,260
	279,848,738	124,487,343

14 (c) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

14(d) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly and

Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2014	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair Value Rs.
Available for sale financial assets	279,848,738	-	-	279,848,738
	<u>279,848,738</u>	<u>-</u>	<u>-</u>	<u>279,848,738</u>
31 December 2013	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair Value Rs.
Available for sale financial assets	124,487,343	-	-	124,487,343
	<u>124,487,343</u>	<u>-</u>	<u>-</u>	<u>124,487,343</u>

15. LOANS TO LIFE POLICYHOLDERS

Movement of policy loan

	2014 Rs.	2013 Rs.
Balance as at 1 January 2014	16,945,946	2,181,995
Loans granted during the year	4,970,500	15,934,500
Repayments during the year	(4,207,653)	(1,170,549)
Balance as at 31 December 2014	17,708,793	16,945,946
Interest receivable	1,988,387	808,676
Total loans to life policyholders	19,697,180	17,754,622

15.1 The surrender value of the policies for which policy loans have been granted as at 31 December 2014 amounted to Rs. 25.3 Million (2013 Rs. 21.8 million).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans. This mitigates the Company's credit exposure on Policy Loans.

The Company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at Fair Value.

Notes to the Financial Statements

As at 31 December

15.2 Impairment Losses on Loans to Life Policyholders

The Board of Directors has assessed potential impairment loss of loans to Life Policyholders as at 31 December 2014. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders.

16. REINSURANCE RECEIVABLE

Reinsurance Receivable on Outstanding claims
Reinsurance Receivable on Settled claims

16.1

2014 Rs.	2013 Rs.
3,725,514	2,998,886
1,421,370	2,381,813
5,146,884	5,380,700
1,421,370	2,381,813
1,421,370	2,381,813

16.1 Reinsurance Receivable from Munich Re

16.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

16.3 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31 December 2014. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of Reinsurance Receivables. Please refer Note No. 29.3 (b) for Reinsurance rating analysis.

17. AMOUNTS DUE FROM RELATED PARTY

Amounts due from related companies

17 (a)

2014 Rs.	2013 Rs.
-	2,609,411
-	1,015,732
-	1,593,679
-	2,609,411

17 (a) Related Party

Relationship

Richard Pieris & Company PLC
Maskeliya Plantation

Ultimate parent
Fellow subsidiary

18. PREMIUM RECEIVABLE

Premium receivable from policyholders
Third party
Related Party

2014 Rs.	2013 Rs.
6,995,362	4,044,509
3,580,352	-
10,575,714	4,044,509

19. OTHER ASSETS

Advances , deposits & prepayments
Taxation receivable
Inventories

2014 Rs.	2013 Rs.
14,253,879	11,353,476
19,064,462	14,080,328
2,186,883	2,193,825
35,505,224	27,627,629

20. CASH AND CASH EQUIVALENTS

Cash in hand
Cash at bank
Short term investments
Favourable cash and cash equivalent balance
Bank overdraft
Total cash and cash equivalent balance

2014 Rs.	2013 Rs.
88,608	43,852
43,688,403	50,650,776
7,321,112	25,826,098
51,098,123	76,520,726
(5,457,151)	(1,817,977)
45,640,972	74,702,749

Notes to the Financial Statements

As at 31 December

21. FINANCIAL INSTRUMENTS

21.1 FINANCIAL ASSETS AND LIABILITIES BY CATEGORIES

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial assets by categories

	Loans and receivables		Available-for-sale financial assets	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Financial investments	563,119,628	453,869,997	279,848,738	124,487,343
Loans to life policy holders	19,697,180	17,754,622	-	-
Premium receivables	10,575,714	4,044,509	-	-
Reinsurance receivable	5,146,884	5,380,700	-	-
Amounts due from related parties	-	2,609,411	-	-
Cash in hand and at bank	51,098,123	76,520,726	-	-
Total	649,637,528	560,179,963	279,848,738	124,487,343

Financial liabilities by categories

	Financial liabilities measured at amortised cost	
	2014 Rs.	2013 Rs.
Reinsurance creditors	10,529,932	12,498,676
Amounts due to related parties	3,702,739	10,356,383
Financial liabilities	44,759,428	29,647,658
Bank overdraft	5,457,151	1,817,977
Total	64,449,249	54,320,694

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

22. STATED CAPITAL

Fully paid ordinary sharers

	2014		2013	
	Nos	Rs.	Nos	Rs.
At the beginning of the year	56,300,007	563,000,070	50,300,007	503,000,070
Issue of shares for cash consideration	9,930,400	112,564,800	6,000,000	60,000,000
	66,230,407	675,564,870	56,300,007	563,000,070

Notes to the Financial Statements

As at 31 December

23. INSURANCE CONTRACT LIABILITIES

	Notes	2014 Rs.	2013 Rs.
Balance as at 01 January		168,377,691	63,599,537
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	23 (a)	77,713,481	89,988,687
Surplus transferred from share holders		20,202,179	20,555,113
Increase in Life insurance fund		97,915,660	110,543,800
Movement in AFS reserve transferred to life fund		20,737,232	(5,765,646)
Balance as at 31 December		287,030,582	168,377,691

23 (a) Increase in Life insurance fund before surplus transfer

	Gross Insurance Contract Liabilities Rs.	Reinsurance on insurance contract Liabilities Rs.	Net Insurance Contract liabilities Rs.
Premiums received	297,439,405	(11,944,255)	285,495,150
Liabilities paid for death, benefits and claims	(43,149,276)	3,033,657	(40,115,619)
Underwriting and net acquisition costs	(121,979,708)	-	(121,979,708)
Fees (deducted)/received	5,074,756	-	5,074,756
Investment return	37,251,783	-	37,251,783
Net realised gains	16,342	-	16,342
Other operating and administrative expenses	(88,029,223)	-	(88,029,223)
Year ended 31 December	86,624,078	(8,910,598)	77,713,481

	Gross Insurance Contract Liabilities Rs.	Reinsurance on insurance contract Liabilities Rs.	Net Insurance Contract liabilities Rs.
Premiums received	206,494,248	(12,593,609)	193,900,639
Liabilities paid for death, benefits and claims	(35,269,625)	5,150,545	(30,119,080)
Underwriting and net acquisition costs	(90,786,151)	-	(90,786,151)
Fees (deducted)/received	3,458,947	-	3,458,947
Investment return	13,702,310	-	13,702,310
Other operating and administrative expenses	(167,978)	-	(167,978)
Year ended 31 December	97,431,751	(7,443,064)	89,988,687

INSURANCE CONTRACT LIABILITIES - LIFE

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional nonparticipating Life Insurance products. The actuarial reserves have been established based upon the following.

- Interest rates which vary by product and as required by regulations issued by the Insurance Board of Sri Lanka.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the Insurance Board of Sri Lanka.

The valuation of the Life Insurance business as at 31 December 2014 was made by Mr. M Poopalanathan, of M/S Actuarial and Management Consultants (Pvt.) Ltd. In accordance with the Consultant Actuary's report, the reserve for the year amounted to Rs.244,053,000/- In the opinion of the Consultant Actuary, the reserve is adequate to cover the liabilities pertaining to the Life Insurance business.

In the opinion of the Actuary, the Life Insurance Fund as included in the Audited Financial Statements exceeds the required actuarial reserves as at 31 December 2014 by Rs. 54,563,000 before any transfer to the shareholders.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Independent Consultant Actuary Mr. Arunachalam Rajaraman, FIA FIAI FCMA FIII Bsc.(Mathematics), as at 31 December 2014 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31 December 2014. No additional provision was required against the LAT as at 31 December 2014.

Notes to the Financial Statements

As at 31 December

24. EMPLOYEE BENEFIT OBLIGATIONS

Gratuity Benefit Obligation

	2014 Rs.	2013 Rs.
Balance as at 1 January	1,069,194	1,441,068
Current service cost	661,849	623,197
Interest cost on benefit obligation	88,209	51,252
Re-measurement (gain)/ loss of defined benefit plan	(64,688)	(1,046,323)
Balance as at 31 December	<u>1,754,563</u>	<u>1,069,194</u>
Expense Recognised in the Income Statement		
Interest cost	88,209	623,197
Current service cost	661,849	51,252
Amount recognised in the income statement	<u>750,057</u>	<u>674,449</u>

The actuarial valuation for the gratuity liability was carried out as at 31 December 2014, by Mr. Poopalanathan, of M/S Acturial and Management Consultants (Pvt) Ltd.

24.2 Discount rate	9.50%	11%
Future salary increases	8%	8%
Retirement Age	55 years	55 years

24.1 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	Rate change	Impact to Financial Position-Increment (Reduction) of Liability	Impact to Comprehensive Income-Charged/(Reversal)
Discount rate	1%	(156,049)	(156,049)
Discount rate	(-1%)	177,923	177,923
Salary increment rate	1%	182,825	182,825
Salary increment rate	(-1%)	(162,830)	(162,830)

24.2 Maturity Profile of Defined Benefit Obligation

	2014 Rs.
Less than one year	-
Between 1-2 years	98,156
Between 3-5 years	347,578
Beyond 5 years	<u>1,308,830</u>
	<u>1,754,563</u>

25. REINSURANCE CREDITORS

	2014 Rs.	2013 Rs.
Receivable from Munich Re	10,529,932	9,831,605
Receivable from Best Re	-	2,667,071
	<u>10,529,932</u>	<u>12,498,676</u>

26. AMOUNTS DUE TO RELATED PARTY

	Note	2014 Rs.	2013 Rs.
Amounts due from related companies	26 (a)	3,702,739	10,356,383

26 (a) Related Party

	Relationship	2014 Rs.	2013 Rs.
Richard Pieris & Company PLC	Ultimate parent	1,335,910	10,157,312
Richard Pieris Distributors Limited	Fellow subsidiary	157,029	12,750
Arpitech (Pvt) Ltd	Fellow subsidiary	209,800	61,377
Arpico Ataraxia Asset Management (Pvt) Ltd	Fellow subsidiary	2,000,000	124,944
		<u>3,702,739</u>	<u>10,356,383</u>

27. FINANCIAL LIABILITIES

	2014 Rs.	2013 Rs.
Agency commission payable	11,330,469	5,137,456
Accrued expenses	26,251,909	16,955,210
Claims outstanding	7,177,050	7,554,992
	<u>44,759,428</u>	<u>29,647,658</u>

Notes to the Financial Statements

As at 31 December

28. OTHER LIABILITIES

Policyholder advance payments
Other taxes payable

2014 Rs.	2013 Rs.
5,934,846	2,750,747
277,353	139,076
6,212,199	2,889,823

29. RISK MANAGEMENT FRAME WORK

29.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The Company is exposed to the following risks.

- Insurance Risk
 - Life Insurance contracts
 - Reinsurance
- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk
 - Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

29.2 Risk management framework

a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IBSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

c) Regulatory framework

Insurance regulator in the Country, Insurance Board of Sri Lanka (IBSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IBSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

29.3 Insurance Risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

Notes to the Financial Statements

As at 31 December

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life Insurance Risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death / permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability

The main risk that the company is exposed to under Life Insurance Contracts are as follows.

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Notes to the Financial Statements

As at 31 December

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below.

Life Underwriting Risk Management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

Life Claims Risk Management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising Group Director Operations, Assistant Manager – Life Insurance and Head of Finance) is involved in taking decisions on significant/ problematic claims and appeals made in respect of claims.

(b) Reinsurance Risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies and Best Re as the reinsurance provider for Group policies (Those are largest reinsurance companies in the world).

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Reinsurance Company	A+	A.M. Best

Some of the specific actions by the Company to mitigate Reinsurance Risks are shown below

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

Notes to the Financial Statements

As at 31 December

29.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures and has been derived as per the company risk management policy of using the carrying values in the statement of financial position.

As at 31 December	2014 Rs '000	% of allocation	2013 Rs '000	% of allocation
Financial Investments				
Debt securities - Loans and receivables	563,120	60.58	453,870	66.7
Debt securities - Available for sale	279,849	30.11	124,487	18.3
Total debt securities	842,968	90.69	578,357	85.0
Life Policyholders loans	19,697	2.12	17,755	2.6
Reinsurance receivable	5,147	0.55	5,381	0.8
Premiums receivable	10,576	1.14	4,045	0.6
Cash in hand and at bank	51,098	5.50	74,703	11.0
Total credit risk exposure	929,486	100.00	680,240	100.00

As of December 31 2014 the largest credit risk exposure of 91% (2013 - 85%) is arising from investments in debt securities

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31 December	2014 Rs '000	% of allocation	2013 Rs '000	% of allocation
Financial Investments				
Government securities and related institutions	372,659	53	124,487	22
Corporate debt securities	260,069	37	393,870	68
Deposits	64,833	10	60,000	10
Total debt securities	697,560	100	578,357	100

(i) Government Securities

As shown in table above, as at 31 December 2014, 53% (2013- 22%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

Notes to the Financial Statements

As at 31 December

(ii) Corporate Debt Securities

As at 31 December 2014, corporate debt securities comprise 37% (2013-68%) of the total investments in debt securities, out of which 100% (2013 – 36%) were rated “A-” or better

Corporate debt security allocation 2014 vs 2013 - credit rating wise

As at 31 December	2014		2013	
Rating	Rs. '000	% of total	Rs. '000	% of total
AA+ AA-	149,354	68	89,574	21.64
A+ A-	70,719	32	51,062	12.33
Not rated *	-	-	273,337	66.03
Total	220,073	100	413,973	100

* Comprises Rs 220 Million (2013 - 141 Million) with an issuer rating above “A-”.

(iii) Concentration risk of corporate debt securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 19 million (2013 - 17.7 million) and its related surrender value is Rs. 25 million (2013 – 21.8 million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 49 million at 31 December 2014 (2013 - Rs. 75 million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated A+ or better.

29.5 Liquidity Risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Notes to the Financial Statements

As at 31 December

Maturity Profiles

The table below summarises the maturity profile of the non- derivative financial assets of the company based on remaining contractual obligations.

As at 31 December 2014	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Assets						
Loans & receivables	563,120	393,724	98,191	71,206	-	563,120
Available for sale	279,849	185,096	20,626	74,126	-	279,849
Life policyholders loans	19,697	2,238	13,900	3,560	-	19,697
Reinsurance receivable	5,147	5,147	-	-	-	5,147
Premiums receivable	10,576	10,576	-	-	-	10,576
Cash and cash equivalents	51,098	51,098	-	-	-	51,098
Total undiscounted assets	929,486	647,878	132,717	148,892	-	929,487

As at 31 December 2014	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Liabilities						
Reinsurance creditors	10,530	10,530	-	-	-	10,530
Amounts due to related party	3,703	3,703	-	-	-	3,703
Other financial liabilities	44,759	44,759	-	-	-	44,759
Bank overdraft	5,457	5,457	-	-	-	5,457
Total undiscounted liabilities	64,449	64,449	-	-	-	64,449

As at 31 December 2013	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Assets						
Loans & receivables	453,870	313,338	119,838	20,694	-	453,870
Available for sale	124,467	63,633	-	-	60,854	124,487
Life policyholders loans	17,755	-	17,755	-	-	17,755
Reinsurance receivable	5,381	5,381	-	-	-	5,381
Premiums receivable	4,045	4,045	-	-	-	4,045
Cash and cash equivalents	76,521	76,521	-	-	-	76,521
Total undiscounted assets	682,038	462,917	137,593	20,694	60,854	682,058

As at 31 December 2013	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Liabilities						
Reinsurance creditors	12,499	12,499	-	-	-	12,499
Amounts due to related party	10,356	10,356	-	-	-	10,356
Other financial liabilities	29,648	29,648	-	-	-	29,648
Bank overdraft	1,818	1,818	-	-	-	1,818
Total undiscounted liabilities	54,321	54,321	-	-	-	54,321

Notes to the Financial Statements

As at 31 December

29.6 Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk), and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

(b) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax and revaluing Available for sale financial assets)

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the limited availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

Notes to the Financial Statements

As at 31 December

29.7 Operational Risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

30. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party is in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures"

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of ALL's related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the Ultimate Controlling Party of the Company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of ALL. The Company has transactions with its parent as follows

(i) Insurance contracts transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2014 Rs.	2013 Rs.
Insurance Premium Received /Receivable	32,917,762	22,275,781
Claim Paid	(19,866,245)	(1,447,123)

(ii) Other transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2014 Rs.	2013 Rs.
Interest Received/Receivables	11,837,407	5,135,900
Expenses Incurred behalf of the company	(37,143,056)	(36,479,323)
Fund Transfers	33,111,319	23,458,319

(b) Transactions with Key Management Personnel (KMP) of the Company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly ALL, considers its Board of Directors(Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

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As at 31 December

	2014 Rs.	2013 Rs.
Short term employee benefits	320,000	-

(c) Transaction with/ between subsidiary companies of parent company

Nature of the transaction	2014 Rs.	2013 Rs.
Fellow subsidiaries		
Claim paid	(9,324,876)	(1,784,104)
Insurance premium received	10,743,973	17,907,106
Purchase of fixed assets	(4,727,746)	(2,720,443)
Rent paid	(2,800,103)	-
Investments	64,832,877	-
Fee, commission and brokerage paid	(3,810,168)	(1,413,509)
Others	(391,536)	(227,631)

30. COMMITMENT AND CONTINGENCIES

There were no Capital Commitments and Contingent Liabilities as at the reporting date.

31. EVENTS OCCURING AFTER THE REPORTING PERIOD

There have been no material events occurring after the Statement of Financial Position date that require adjustments to or disclosure in the financial statements other than the following :

- 31.1** On 16 January 2015 the shares of the company were listed on the Diri Savi Board of the CSE and were classified under the Banks Finance and Insurance Sector.

Notes to the Financial Statements

LIFE INSURANCE - SUPPLYMENT

As at 31 December 2014	2014 Rs.	2013 Rs.
Assets		
Financial assets		
Available for sale financial assets	279,848,737	124,487,385
Loans and receivables	72,885,357	56,566,338
Loans to Life policyholders	19,697,180	17,754,622
Reinsurance receivable	5,146,884	5,380,700
Premium receivable	6,995,362	4,044,509
Amounts due from related party	3,580,352	2,609,411
Other assets	19,996,685	4,427,198
Cash and cash equivalents	-	2,590,545
Total assets	408,150,557	217,860,707
Liabilities		
Insurance contract liabilities	287,030,582	168,377,691
Gratuity benefit obligation	1,754,563	289,982
Reinsurance creditors	10,529,932	12,498,676
Amounts due to related party	3,702,739	-
Financial liabilities	43,455,916	33,804,535
Other liabilities	6,212,200	2,889,823
Bank overdraft	55,464,628	-
Total liabilities	408,150,557	217,860,707

Shareholder Information

Twenty Largest Shareholders

		2014 Shareholding	2014 % on Issued Shares
1	Kegalla Plantation	26,685,001	40.29
2	Richard Pieris Distributors Limited	17,790,001	26.86
3	Richard Pieris and company PLC	15,125,001	22.84
4	Dawi Investment Trust (Pvt) Ltd	764,700	1.15
5	Mr. S.Msenthinandhanan	764,700	1.15
6	Mr.S.Senthi Maaran	764,700	1.15
7	Mr.P.R.B.Perera	535,900	0.81
8	Mrs .M.P.B.Fernando	383,400	0.58
9	Mr H.V .Senaweera	368,100	0.58
10	Mr.W.A.K.D.Saparamadu	154,500	0.23
11	Mr.T.R.Moonemalle	154,500	0.23
12	Mr.K.V.Hewavitarne	116,400	0.18
13	Mr.F.N.Herft	116,400	0.18
14	Mr.B.A.R.Dissanayake	78,300	0.12
15	Mr.K.D.D.H.Dayaratne	78,300	0.12
16	Spice Of Life (Pvt) Ltd	78,300	0.12
17	Mr.J.Liyanage	78,300	0.12
18	C.J.A.Ederisinghe	78,300	0.12
19	Mr.S.A.Obeyesekere	78,300	0.12
20	Mr.S.M.Wijesinghe	78,300	0.12
		<u>64,271,403</u>	<u>97.07</u>

Composition of Shareholders

Public Shareholding	2014 No. of Shares	2014 % on Issued Shares
Number of Shares	6,630,400	10.10
Number of Shareholders	493	98.60

Resident and Non-Resident Shareholding

	2014				2013			
	No of shareholders	%	No of shares held	%	No of shareholders	%	No of shares held	%
Resident	1	0.20%	116,400	0.18%	7	100.00%	56,300,003	100.00%
Non-Resident	499	99.80%	66,114,007	99.82%	-	-	-	-
Grand Total	<u>500</u>	<u>100.00%</u>	<u>66,230,407</u>	<u>100.00%</u>	<u>7</u>	<u>100.00%</u>	<u>56,300,003</u>	<u>100.00%</u>

Shareholder Information (Contd.)

Distribution of Shareholding

	2014				2013			
	No of shareholders	%	No of shares held	%	No of shareholders	%	No of shares held	%
Less than or Equal to 1,000	256	51.20%	148,904	0.22%	4	57.14%	4	0.00%
1,001-5,000	141	28.20%	535,700	0.81%	-	-	-	-
5,001-10,000	60	12.00%	518,300	0.78%	-	-	-	-
10,001-50,000	19	3.80%	468,900	0.71%	-	-	-	-
50,001-100,000	11	2.20%	835,300	1.26%	-	-	-	-
100,001-500,000	6	1.20%	1,293,300	1.95%	-	-	-	-
500,001-1,000,000	4	0.80%	2,830,000	4.27%	-	-	-	-
over 1,000,000	3	0.60%	59,600,003	89.99%	3	42.86%	56,300,003	100.00%
Grand Total	500	100.00%	66,230,407	100.00%	7	100.00%	56,300,007	100.00%

Directors' Shareholdings

There is no shareholding by the Directors as at 31st December 2014

Share Information

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at 31st December 2014	9.38
Highest Price Per Share	N/A
Lowest Price Per Share	N/A
Last traded Price Per Share as at 31st December 2014	N/A

Glossary of Insurance Terms

Actuarial Valuation

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company holds adequate assets to fund the Company's liabilities.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

Claims Outstanding - Long Term Insurance

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

Commission

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

Deposit Premium

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

Endowment

Life insurance payable to the policyholder if Living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

Gross Written Premium – Life

Premium to which the insurer is contractually entitled and received in the accounting period.

Insurance

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

Insurance Provision - Long Term

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Surplus

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

Long Term Insurance

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Maturity

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Net Written Premium

Gross written premium less reinsurance premium payable.

Net Claims Incurred

Claims incurred less reinsurance recoveries.

Policy Loans

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

Premium

The consideration payable by the insured for an insurance contract.

Glossary of Insurance Terms (contd.)

Profit Commission

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

Revenue Account

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

Reinsurance

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurer.

Reinsurance Commission

Commission received or receivable in respect of premium paid or payable to a reinsurer.

Reinsurance Premium

The premium payable to the reinsurer.

Solvency Margin - Life

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

Surrender

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

Surrender Value

The sum payable by an insurance Company upon the surrender of a Life insurance policy before it has run its full course.

Combined Ratio

Sum of the loss ratio and expense ratio.

Fair Value

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

Available for Sale (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position and changes in value are taken straight to equity instead of the income statement.

Cash Flow Statement

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

Corporate Governance

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

Earnings per Share

Ratio calculated by dividing the consolidated net income/(loss) by the weighted average number of shares outstanding.

Notice Of Meeting

NOTICE IS HEREBY GIVEN that the Third (03rd) Annual General Meeting of Arpico Insurance PLC will be held at the Registered Office, No. 310, High Level Road, Nawinna, Maharagama on Friday 26 June 2015 at 10.00 a.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2014 with the Report of the Auditors thereon.
2. To re-elect Mr.Jagath Dissanayake who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director
3. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
4. To authorize the Directors to determine contributions to charities
5. To consider any other business of which due notice has been given

By Order of the Board



.....
Richard Pieris Group Services (Private) Limited
Secretaries

No. 310, High Level Road, Nawinna, Maharagama
22 May 2015

Note:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama., not less than 48 hours before the time appointed for the holding of the meeting.



Form Of Proxy

I/We* (in block letters) of being a member /
 members of the ARPICO INSURANCE PLC hereby appoint of
 whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing NAYANA JAGATH KUMAR DISSANAYAKE whom failing SARAVANAPAVAN SIRIKANANATHAN whom failing LASINEE SRIYANTHIE AMALA SERASINHE * as my/our proxy to represent me/us and to vote on my/our behalf at the 03rd ANNUAL GENERAL MEETING of the Company to be held on 26 June 2015 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

	In favour	Against
1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2014 with the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. Jagath Dissanayake , who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
3. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
4. To authorize the Directors to determine contributions to charities	☐	☐
5. To consider any other business of which due notice has been given	☐	☐

Dated this day of 2015

.....
 Signature of shareholder

Notes: (i) Please delete the inappropriate words
 (ii) A proxy need not be a member of the Company.
 (iii) Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 10.00 a.m. on wednesday, 24 June 2015.

In perfecting the Form of Proxy, please ensure that all details are legible.

In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.

Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.

This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

Notes

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Notes (contd.)

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Corporate Information

The Company

Arpico Insurance PLC

Legal Form of the Company

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 7 of 2007

Company Registration No.

P B 4739

Stock Exchange Listing

The shares of the Company are Listed on the Colombo stock exchange, Dirige Savi Board

Place of Incorporation

Colombo, Sri Lanka

Accounting Year-end

December 31

Tax Payer Identification Number (TIN)

1340473990000

Registered Office

Arpico Insurance PLC
301, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

Corporate Office

Arpico Insurance PLC
55/20, Vauxhall Lane, Colombo 02.
Tel : 011 5 900 900
Fax: 011 2 330 713

Board of Directors of AINS

Mr. Viville Perera - Non-Executive Director
Mr. Jagath Dissanayake - Non-Executive Director
Mrs. Lasinee Serasinhe - Independent Non-Executive Director
Mr. S. Sirikananathan - Independent Non-Executive Director

Secretaries of the Company

Richard Pieris Group Services (Pvt) Limited
301, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax: 011 4 310 777

Auditors to the Company

Ernst & Young
Chartered Accountants
201, De Seram Place, Colombo 10.
Tel : 011 2 463 500
Fax: 011 2 697 369

Consultant Actuary

Mr. Poopalanathan.
Actuarial and Management
Consultants (Pvt) Ltd.
1st Floor, 434, R.A. De Mel Mawatha,
Colombo 03, Sri Lanka.

Bankers to the Company

National Development Bank PLC
40, Navam Mawatha, Colombo 02.
Tel : 011 2 448 448
Fax: 011 2 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21, Sir Razik Fareed Mawatha,
Colombo 01.
Tel : 011 2 430 420
Fax: 011 2 336 706





Arpico Insurance PLC
55/20, Vauxhall lane, Colombo 02.
Tel: 0094 11 5-900 900
Fax: 0094 11 2 330 713
Email : info@arpicoinsurance.com
www.arpicoinsurance.com

